

MAXIMO ENTERPRISE ASSET MANAGEMENT AT OTORITA IBU KOTA NEGARA (OIKN)

Training Material – Procurement Management

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1 Procurement Management

1.1 Overview

Obtaining the materials and services required to complete work is an important part of the maintenance and engineering processes. As inventory balances begin to decline in the storerooms, balances will need to be replenished. The Purchasing to Work Order process dictates that both existing database items (those that are already entered in MAXIMO) and those items and services that have not been previously registered will require procurement, and that those transactions must be properly recorded to account for such expenses. Upon receipt of the ordered items, MAXIMO will:

1. Expense the cost of the goods and services to the correct Work Order or other charge account
2. increase the dollar balance of the Inventory Storeroom into which it was received

Purchasing Module Consists of following Application:

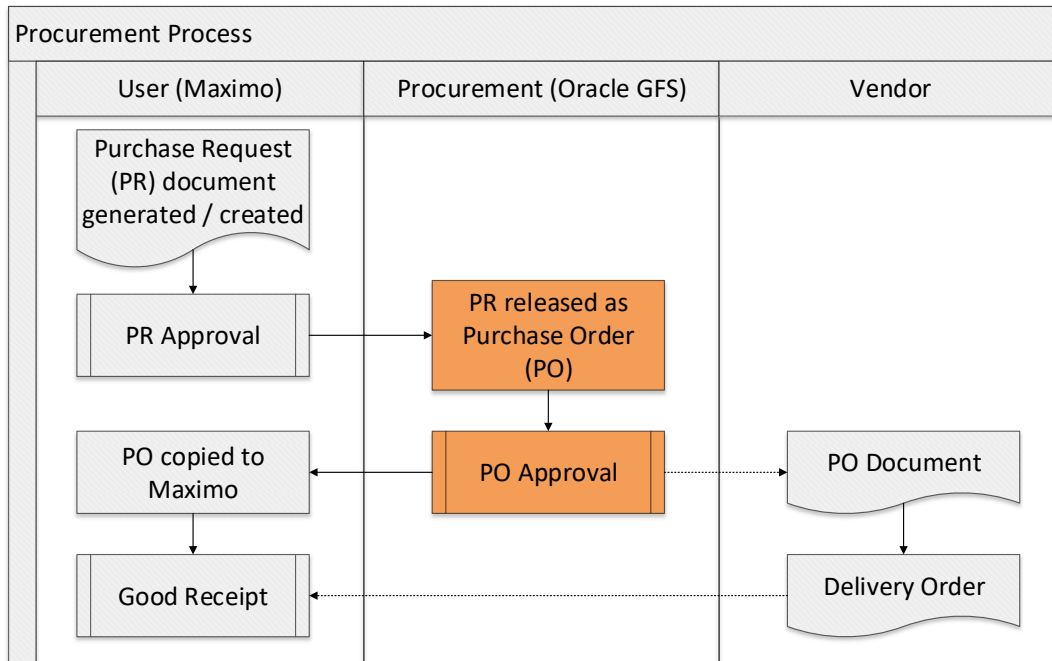
Application	Function
Purchase Requisitions	You use the Purchase Requisitions application to create purchase requisitions for items, for supplies, or for services. You can also use this application to create purchase orders from purchase requisitions.
Purchase Orders	You use the Purchase Orders application to create purchase orders and to change existing purchase orders. You can create purchase orders and reuse the data and vendor information
Receiving	The Receiving application is used to process receipts for materials.

1.2 Purchasing Process

The steps in the purchasing process include creating purchase requisitions, creating purchase orders, receiving services and items, and recording vendor invoices.

The following example illustrates the purchasing process from requisitioning through invoicing.

- Create the purchase requisition
- Create the purchase orders (Oracle GFS)
- Receive the services and items



To support procurement activities in NPCT1 which includes *Purchase Requisition*, *Purchase Order*, *Receiving* in order to accommodate the business flow above.

2 Purchase Requisition

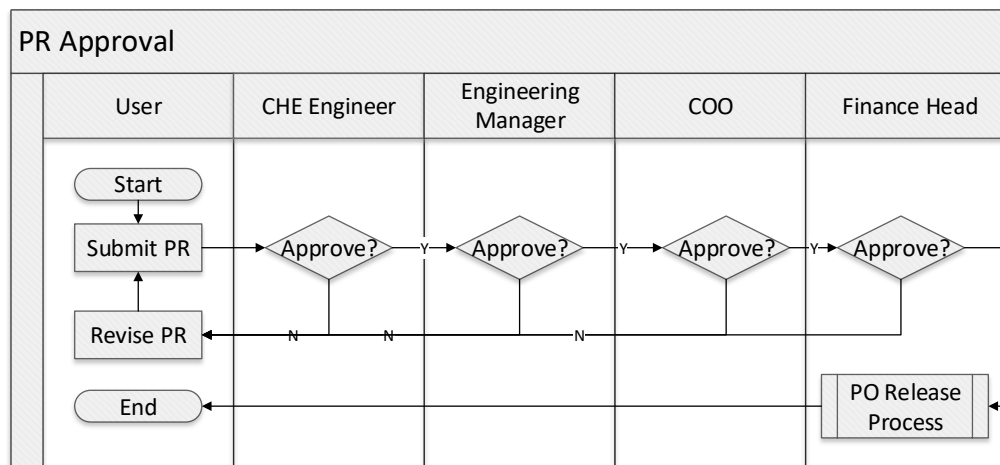
2.1 Overview

A purchase requisition (PR) is a written request issued internally to a purchasing department to order items or services. The creation of a purchase requisition sets off a chain reaction of activities as outlined in the purchasing process.

There are five tabs on the Purchase Requisitions application screen:

- List — used to search the database for PR records using any combination of available fields. Not only can users query against fields on the main screen of the PR application, users can also construct queries using Item numbers, material and service descriptions and other detail from the PR Lines screen.
- PR — used to enter, view, or modify summary PR record data.
- PR Lines — used to enter, view, or modify line items for a Purchase Requisition. A line can contain an item from the database of Inventory records, a material not found in the inventory database, or a service
- Ship To/Bill To — a tab which includes the default data for your Organization. Upon creation of a new PR, the Ship To and Bill To fields (with your Company ID) can be edited along with the contact person values

In NPCT1 based on requirement phase there will be workflow for PR approval process created shown in figure below:



2.2 Primary Components

PR Number: The unique number for each Purchase Requisition created in MAXIMO. An auto number will populate the field, but can be overwritten by Users - prior to saving the record the first time.

Description: This field should contain pertinent and unique information to assist in the retrieval of this record through the query process. Remember, the description field is not only one of the two prime query fields for record searches within the PR application, but also for searches from within other applications. Some Organizations may include the Work Order number, Buyer and other pertinent data in this field to facilitate future search queries. If the description entry exceeds the field length provided, additional information can be populated into the long description field by clicking on the Page icon to the right of the description field.

PR Status

- **WAPPR — Waiting for Approval.** New PR's are created with an initial status of WAPPR. Screen information is editable when the PR is in this status.
- **APPR — Approved.** After reaching a status of APPR, all fields are converted to a read only status. The status of the PR must be returned to a status of WAPPR to edit the information. The MAXIMO configuration (global system setting) may require approvals for PR's and PR line items before they can be transferred to a PO record.
- **CLOSE — Closed.** Closing a PR automatically occurs when all of the PR line items have been assigned to one or more Purchase Orders. All fields are read only, and records can no longer be modified. If you try to manually close a PR and a line item has not yet been assigned, the system displays a warning message. The CLOSE status is considered a history status (which hides the record from normal record queries).
- **CAN — Canceled.** An approved PR can only be canceled if none of its line items have been assigned to a Purchase Order. All fields are read only, and the record can no longer be modified. The CAN status is also considered a history status
- **REJECT (Reject):** PR is rejected by one of the approval person.

Requested By: This field should include the name of the person who is requesting the Parts or Services. It can also serve as a notification field for Receiving.

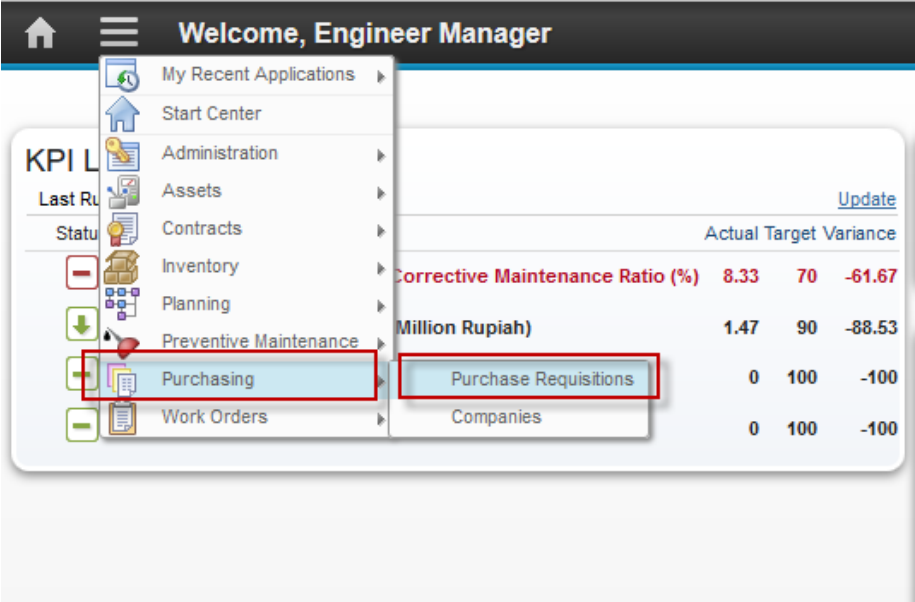
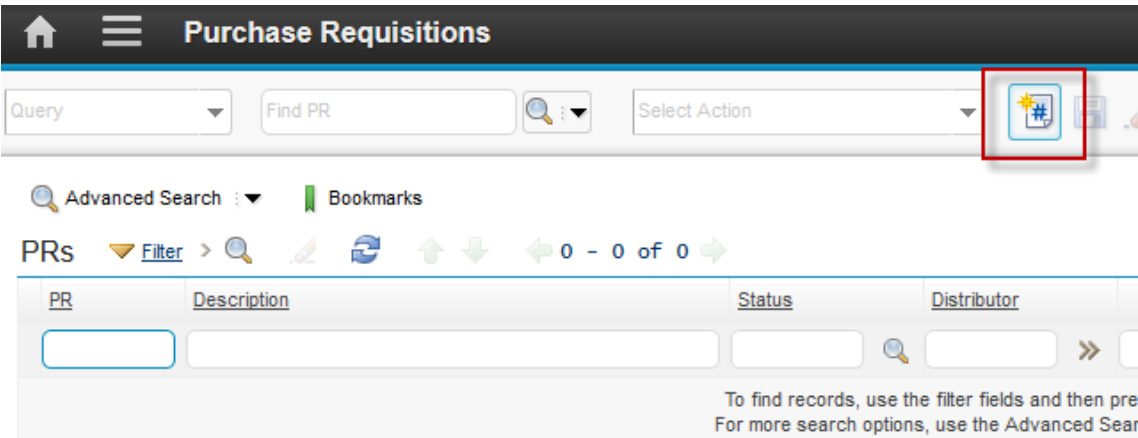
Requested Date: Maximo enters the current date when the record is created.

Required Date: The date by which the goods and services must be received.

2.3 PR Generation

Based on the requirement phase with procurement and finance team, PR Record always initiate by Reorder Activity and Workorder. This chapter already covered in Work Management and Inventory Management. But for manual PR creation there are two activities defined:

- **Creating the PR Record** — records the details of the PR: who requested the purchase, what vendor will be used, when it is needed, the address it should be shipped to, etc.
- **Adding Line Items** — lists the quantity of the materials or services requested for purchase and where they will be expensed or stored upon receipt

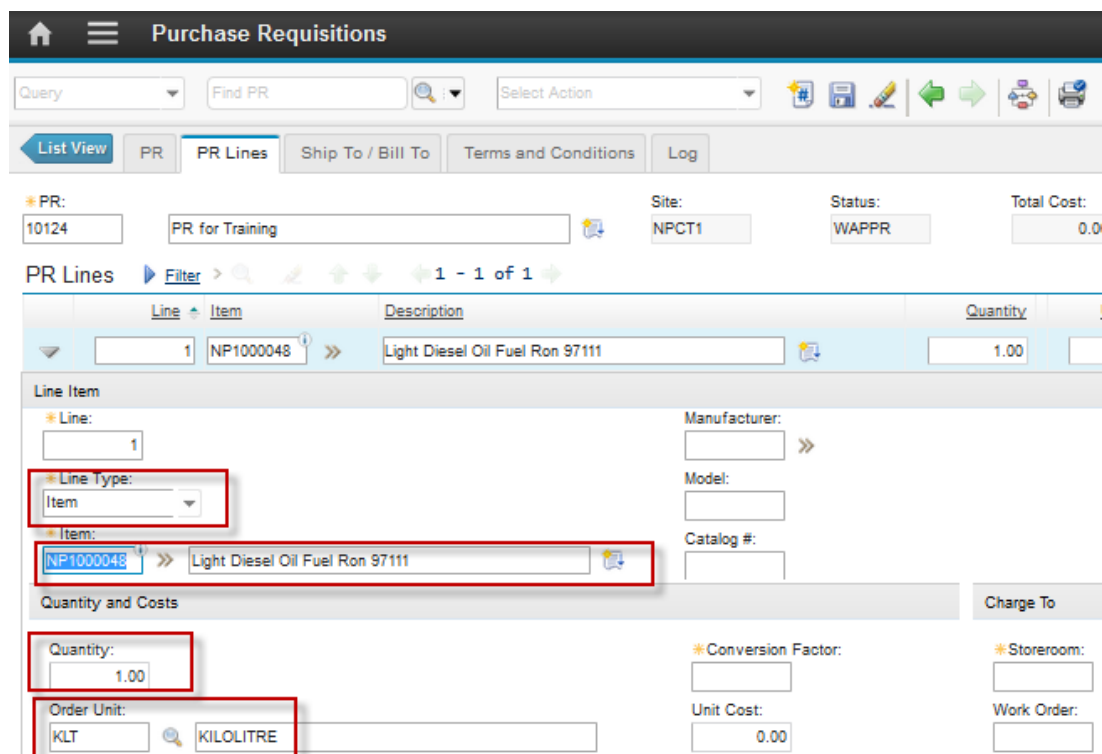
Step	Action
1	From Start Menu, go to Purchasing > Purchase Requisition application 
2	Click New PR 
3	Enter the following information : Department : ENG Description : “PR for Training” Required Date : 27 May 2016

For the **Material** line types, specify information for the following fields:

- Description
- Quantity
- Unit Cost
- Specify information for one of the following fields:
 - GL Debit Account or Asset Number or WO Number

For the **Service** line types, specify information for the following fields:

- Description
- Quantity
- Unit Cost or Line Cost
- Specify information for one of the following fields:
 - GL Debit Account or Asset Number or WO Number.



Purchase Requisitions

Query Find PR Select Action

List View PR PR Lines Ship To / Bill To Terms and Conditions Log

*PR: 10124 PR for Training Site: NPCT1 Status: WAPPR Total Cost: 0.0

PR Lines Filter 1 - 1 of 1

Line	Item	Description	Quantity
1	NP1000048	Light Diesel Oil Fuel Ron 97111	1.00

Line Item

*Line: 1 Manufacturer: Model: Catalog #:

*Line Type: Item

*Item: NP1000048 Light Diesel Oil Fuel Ron 97111

Quantity and Costs

Quantity: 1.00

Order Unit: KLT KILOLITRE

*Conversion Factor: Unit Cost: 0.00

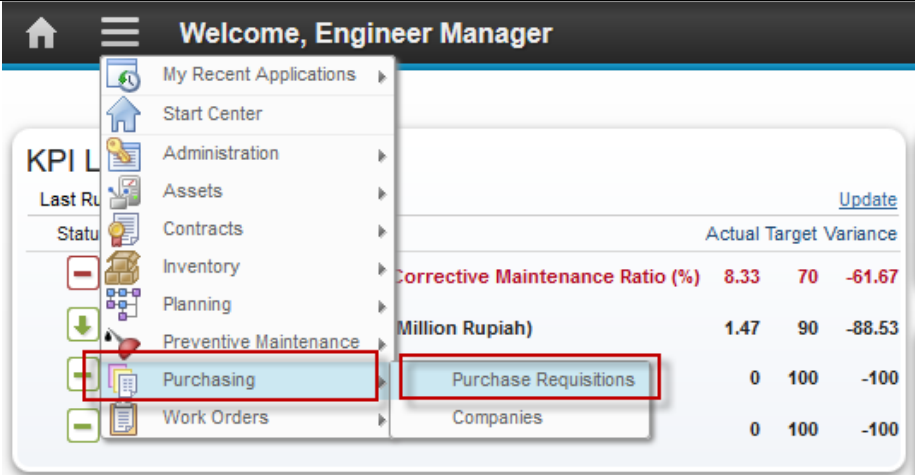
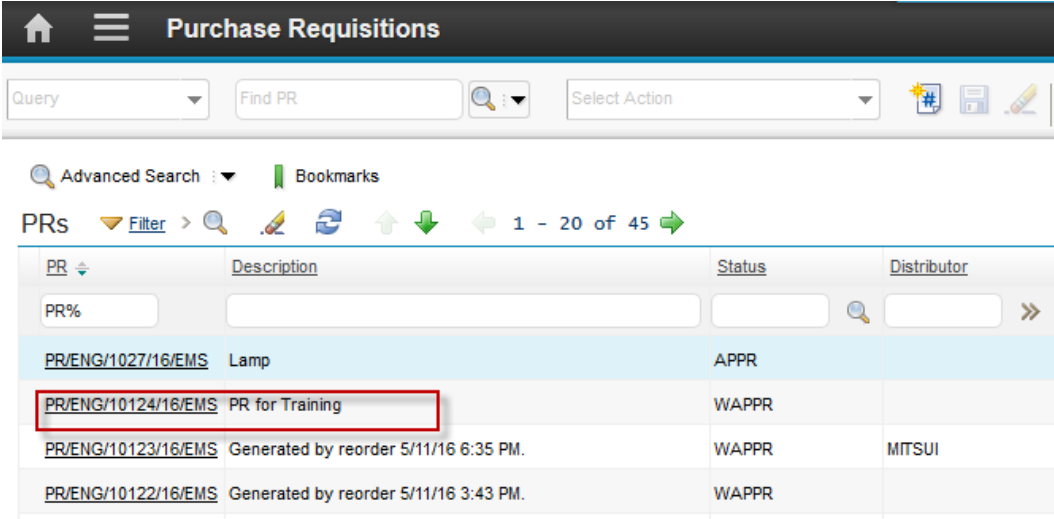
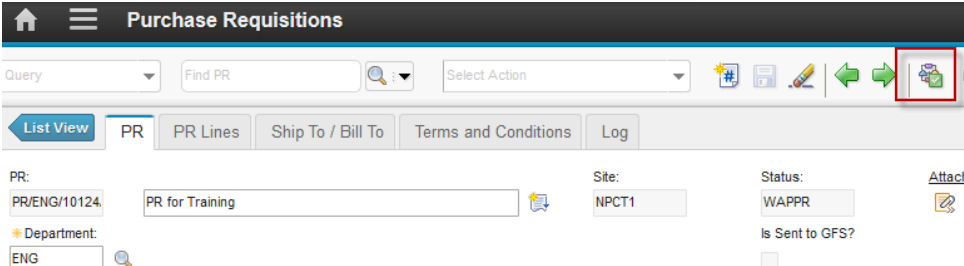
*Storeroom: Work Order:

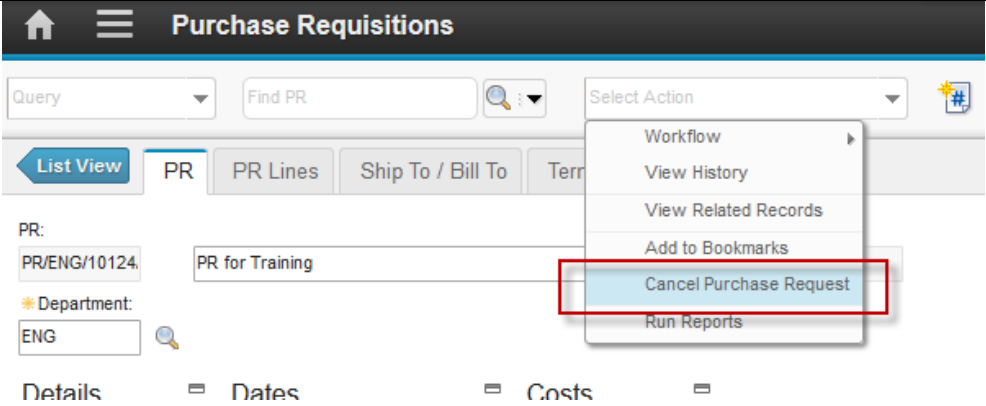
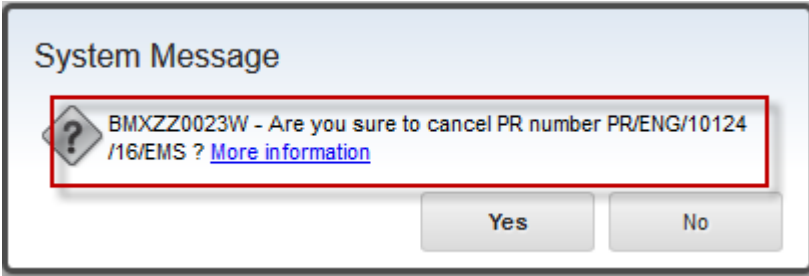
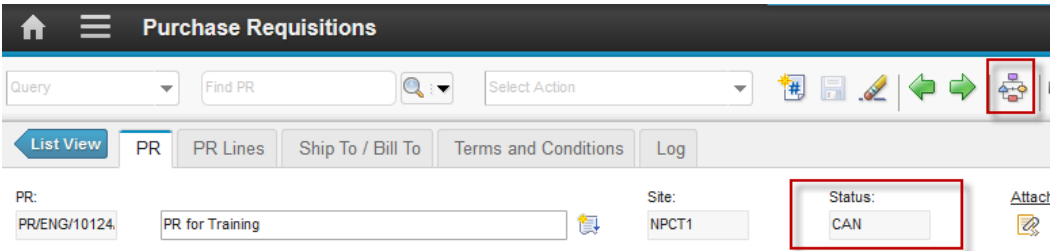
6 Click **Save** and default status are "WAPPR"

2.4 PR Cancellation

1. PR in WAPPR status.
2. PR in APPR or TRANS status but there are doesn't any PO related to PR in Maximo.

Step	Action
1	From Start Menu, go to Purchasing > Purchase Requisition application

	
2	From the list of PR in PR application, choose one of the PR that you want to Cancel 
3	Please ensure workflow of the PR is running indicated with Route Workflow button is checked. 
4	From Select action menu, choose Cancel Purchase Request option.

	
4	There will be warning message to ensure that you want to cancel this PR  Click OK button. In successful cancellation process there will be message shown in figure below 
5	Please ensure the status of PR is CAN and workflow is stopped 

3 Purchase Order

3.1 Overview

A Purchase Order (PO) is an authorized contractual order for goods or services from your purchasing department to an external vendor or internal supplier. Users can access the PO application to create a PO, either starting from a blank PO or by copying lines from Purchase Requisitions or Requests for Quotation. Users can also create a blanket PO, blanket releases, pricing agreements, and change orders. The PO application can be accessed by selecting the Purchasing icon on the Start Center Page or the **Go To** link.

Maximo implementation in NPCT1 PO is created by Oracle GFS. Using integration system PO records will be integrated.

PO Status

Status: The current status of the PO which can be one of the following five values:

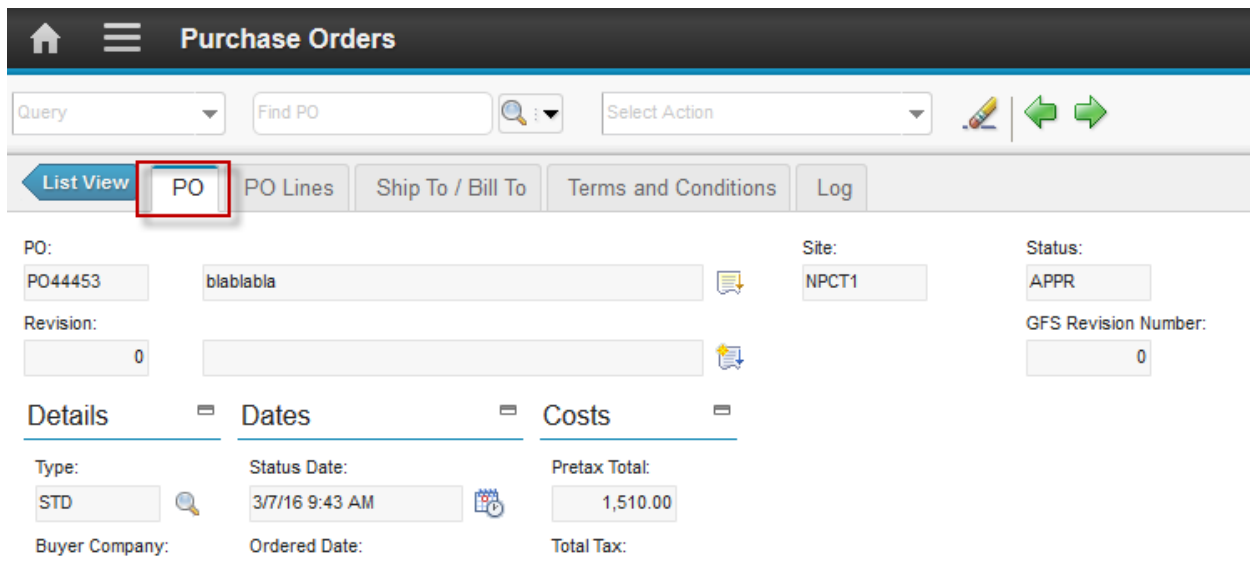
- **GFSAPPR** – GFS Approved. New PO created from GFS will have GFSAPPR in Maximo, in this status PO can't be received.
- **APPR** — Approved. After reaching a status of APPR, all fields are converted to a read only status. The status of the PO must be returned to a status of WAPPR in order to edit the information.
- **CLOSE** — Closed. All fields are read only, and record can no longer be modified. POs can only be closed if all lines have been received, and if lines that require inspection have been approved. The CLOSE status is considered a history status (which hides the record from normal record queries).
- **CAN** — Canceled. An approved PO can only be canceled if none of its line items have been received. All fields are read only, and the record can no longer be modified. The CAN status is considered a history status.

There are five tabs on the Purchase Orders application screen:

- **List** - used to search the database using any combination of available fields.
- **PO** - used to enter, view, or modify POs, either copied from PRs or RFQs, or created new in the PO application.
- **PO Lines** - used to enter, view, or modify line items on the PO. This tab is also used to view summary information from the Material Receipts and Service Receipts tabs in the Receiving application. A line can contain an Item from the database of Inventory records, a material not found in the inventory database, or a service.
- **Ship To/Bill To** - A tab which includes the default data for your Organization. Upon creation of a new PR, the Ship To and Bill To fields (with your Company ID) can be edited along with the contact person values.

3.2 PO Tabs

The PO Tab contains information about PO Details.



The screenshot shows the 'Purchase Orders' interface. At the top, there is a navigation bar with a home icon, a menu icon, and the title 'Purchase Orders'. Below this is a search bar with a 'Query' dropdown, a 'Find PO' input field, a search icon, and a 'Select Action' dropdown. To the right of the search bar are icons for edit, back, and forward. Below the search bar is a tabbed interface with tabs for 'List View', 'PO' (which is highlighted with a red box), 'PO Lines', 'Ship To / Bill To', 'Terms and Conditions', and 'Log'. The 'PO' tab is active, displaying the following information:

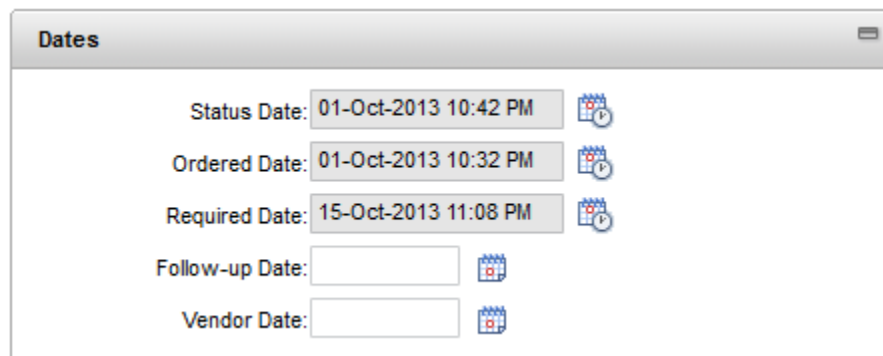
PO: PO44453 blablaba Site: NPCT1 Status: APPR
Revision: 0 GFS Revision Number: 0

Below this information are three expandable sections: 'Details', 'Dates', and 'Costs'. The 'Details' section is expanded, showing:

Type: STD Status Date: 3/7/16 9:43 AM Pretax Total: 1,510.00
Buyer Company: Ordered Date: Total Tax:

Date Section

- Ordered Date : Date and time when the purchase order was issued. The default is the system date and time at the time of creation.
- Required Date : Date when the purchase order line items are needed
- Vendor Date : Date when the vendor expects to deliver the order.



The screenshot shows the 'Dates' section of the PO interface. It contains the following fields:

Status Date: 01-Oct-2013 10:42 PM
Ordered Date: 01-Oct-2013 10:32 PM
Required Date: 15-Oct-2013 11:08 PM
Follow-up Date:
Vendor Date:

Costs Section

- Pretax Total : Total cost for the goods on the PO, excluding taxes
- Total Tax : Total Tax applied to the PO. Maximo calculates this amount based on the line items entered on the PO Lines tab
- Total Cost : Total cost for the PO, including taxes. Maximo calculates this amount using the value in the Currency field. If the Currency field is blank, Maximo calculates this amount in your company's base currency.
- Total Base Cost : Total cost of the PO, in your company's base currency

Costs	
Pretax Total:	1,600.0000
Total Tax:	160.0000
Total Cost:	1,760.0000
Currency:	EUR
Total Base Cost:	2,317.6182

Distributor

Contains information about related vendor to PO.

Distributor

Distributor:	708163	>>	PT. Loka Adimtra Sejati	
Address:	Gd. Tiguna Lt. IV/213 - Jl. Hang Lekiu III/7			
City:	Jakarta			
State/Province:				

3.3 PO Lines Tab

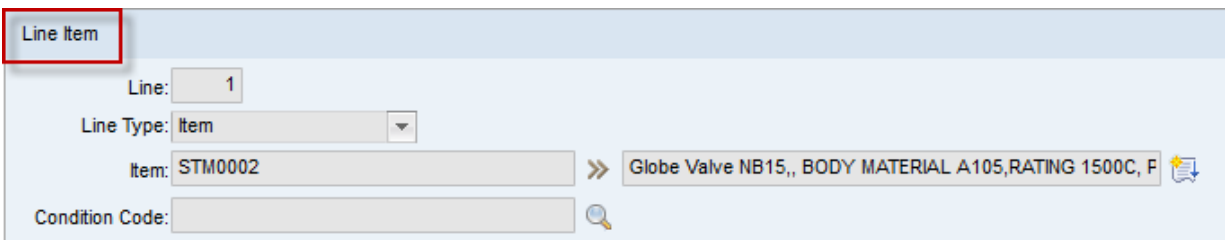
You can add lines to an existing purchase order for each item, material, service, or tool to be purchased in **PO Lines** Tab. Every PO Line item has information different information.

Purchase Orders				
Query	Find PO	Select Action		
List View	PO	PO Lines	Ship To / Bill To	Terms and Conditions
Log				
PO:	PO44453	blablabla	Site:	NPCT1
Status:	APPR			
Revision:	0			
PO Lines	Filter	1 - 2 of 2		
Line	Item	Description	Quantity	
1	NP1000039	Item Master	10.00	
2	NP1000055	Shipping Cost	1.00	
Vendor Items Contract Items Select Spare Parts Vendor Analysis				

Below is field description in Each PO Line.

Line Item Section.

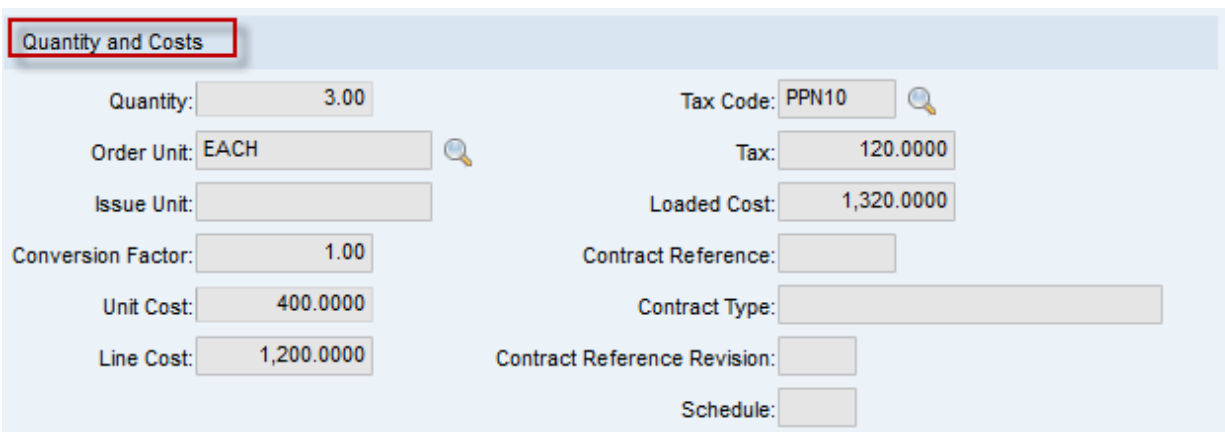
Line Type : Possible values include Item, Material, Service, and Tools.



The screenshot shows the 'Line Item' section of a procurement system. It includes fields for 'Line' (set to 1), 'Line Type' (set to Item), 'Item' (STM0002), and 'Condition Code'. A description field shows 'Globe Valve NB15,, BODY MATERIAL A105,RATING 1500C, F' with a download icon.

Quantity and Cost Section

- Quantity : Number of units of the ordered item.
- Line Cost : Cost for the line item, calculated by multiplying the quantity by the unit cost
- Tax Code : Tax code used to calculate the value in the Tax field
- Loaded Cost : Total cost of the line item, including taxes and standard service amounts



The screenshot shows the 'Quantity and Costs' section. It includes fields for 'Quantity' (3.00), 'Order Unit' (EACH), 'Issue Unit', 'Conversion Factor' (1.00), 'Unit Cost' (400.0000), 'Line Cost' (1,200.0000), 'Tax Code' (PPN10), 'Tax' (120.0000), 'Loaded Cost' (1,320.0000), 'Contract Reference', 'Contract Type', 'Contract Reference Revision', and 'Schedule'.

Charge To section.

- Storeroom : Storeroom location of the item. This field is required if the Issue on Receipt? box is cleared.
- Workorder : Identifies the work order for the line item.
- GL Debit Account : Account code for the general ledger account that will be charged the cost of the line item

Charge To

Storeroom: MAINSTORE >>

Work Order: >>

WO Task: 

Location: >>

Asset: >>

GL Debit Account: MSWD/11907/ 

Related Record

- Requisition : MRNUM
- Requisition Line : MRNUM Line number
- RFQ : RFQNUM
- RFQ Line : RFQ Line number
- PR : Purchase Requisition number related to the PR

Related Records

Requisition: >>

Requisition Line:

RFQ: >>

RFQ Line:

PR: PRMX1300414 >>

PR Line: 1

4 Receiving

4.1 Overview

The Receiving application makes it possible to receive ordered materials, as well as record the receipt of services provided by vendors. Upon receipt, these objects may be added as assets to an Inventory Storeroom, or they may be expensed to a Work Order, GL Account or Location or Asset object (as your Organization Business Process permits). Users can access the Receiving application by selecting the Receiving icon on the Start Center, if available or by using the Go To link.

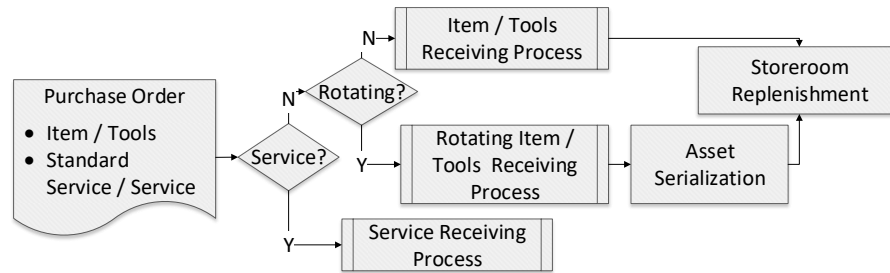


Figure 1. Receiving Process Flow

In NPCT1 receiving process will follow following conditions:

1. To create receipts, the status of the purchase order must be APPR (Approved).
2. Receipt Status lifecycle of Purchase Order is as follows:
 - NONE (None)
 - PARTIAL (Partial)
 - COMP (Complete)
3. There are three types of PO receiving process based on PO Line type which are:
 - a. Receiving Item
 - b. Receiving Rotating Item
 - c. Receiving Service

Note:

- There is an optional inspection function in MAXIMO 7 which will require acceptance (in addition to receipt transaction) for Items that may be expensive and need to be formally evaluated prior to formal receipt.
- This inspection function is activated by checking the Inspect on Receipt field at the Item record level. In this instance, when an Item requiring inspection is copied into the Receiving table window, the materials will not be updated to the Storeroom balance (or expensed) until the inspection approval option has been completed on the MAXIMO 7 Receiving screen.
- The option to approve inspection is found under the drop down Select Actions menu item (Change Inspection Status). The first entry records the receipt of the service, but a second

authorized person must approve the inspection required items or services (also found under the Select Action drop down menu) before recordation of the financial transaction becomes complete.

There are three tabs on the Receiving application screen:

- **List** - used to search the database using any combination of available fields.
- **Material Receipts** - used to report materials received on a PO.
- **Service Receipts** - used to report services received on a PO:



Receiving

Query

Find PO

Select Action

List View

Material Receipts

Service Receipts

PO:

1015

Generated by reorder 2/11/16 4:46 PM.

Distributor:

MITSUMI

Mitsui

Attention:

MAXADMIN

MAXADMIN

Site:

NPCT1

Ordered Date:

2/11/16 4:47 PM

Received Cost:

0.00

PO Status:

APPR

Receipts:

NONE

Attachments

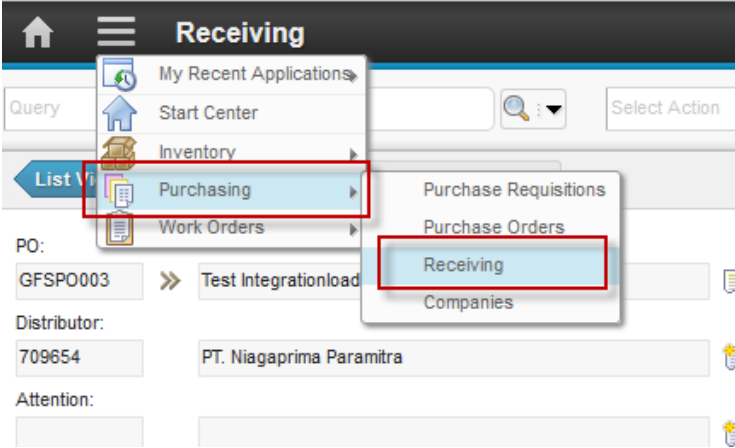
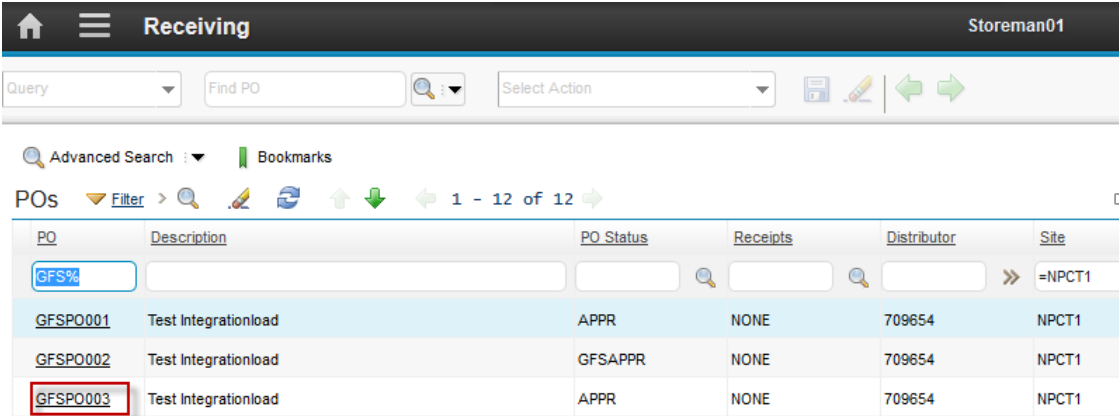
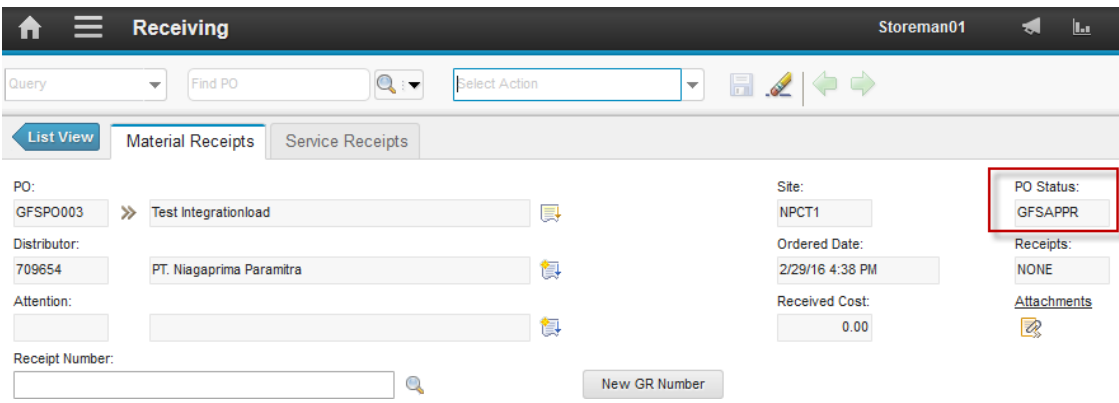
Material Receipts

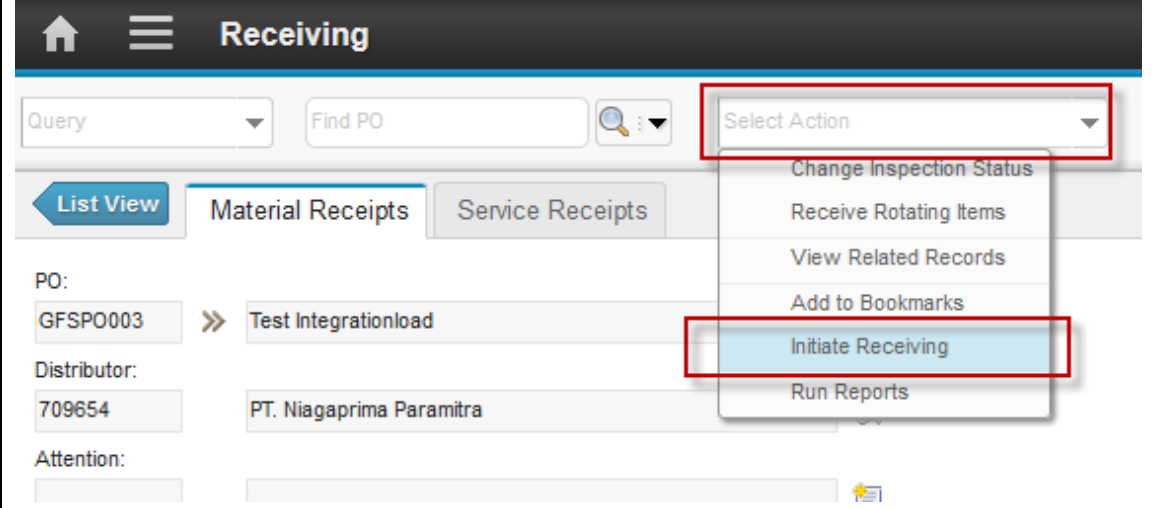
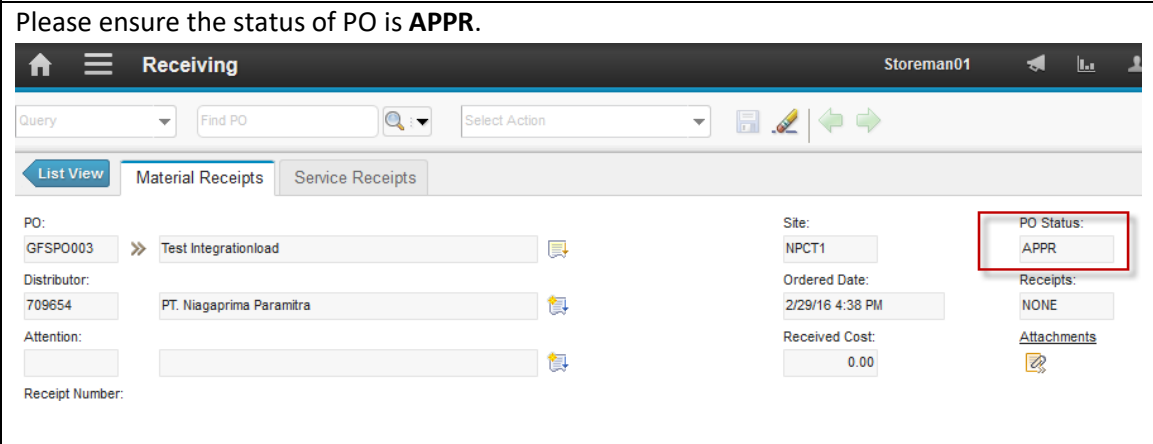
Filter

1 - 2 of 2

PO Line	Item	Description	Quantity	Order Unit	Type	Insp
1	ITEM001	Lamp - remote warning light	20.00	EACH	RECEIPT	COM
1	ITEM001	Lamp - remote warning light	-20.00	EACH	RETURN	COI

4.2 Receiving Initiation

Step	Action
1	From Start Menu, go to Purchasing > Receiving application 
2	From the list of PO to be received, choose one of the PO that you want to Receive 
3	Please ensure PO Status is GFSAPPR. 
4	From Select action menu, choose Initiate Receiving option.

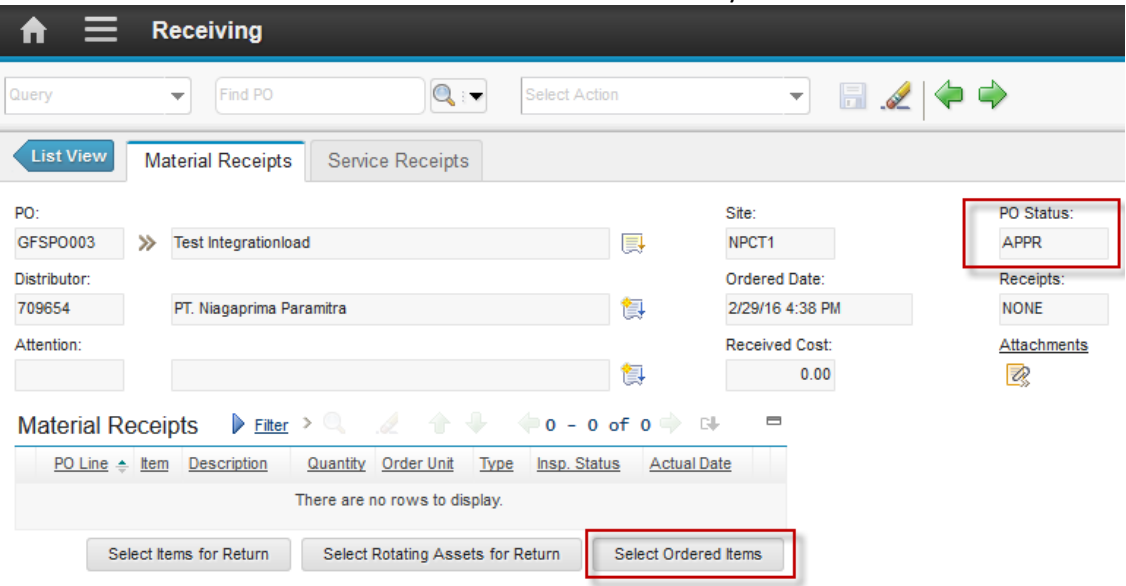
	
5	Please ensure the status of PO is APPR. 

4.3 Material Receiving

The Material Receipts tab is used to enter information about items received on an approved PO. Receipts cannot be processed unless the PO is in a status of at least APPR.

- Users can copy all the PO line items to the Material Receipts tab's table window if the entire order has been received, or you can enter partial receipts.
- Users can also record receipt of the materials ordered on the PO and note any discrepancies between what was ordered, received or rejected (Vendor returns).
- If the Item's destination is a Storeroom, the system increases the balance of the Item/Inventory record for the indicated storeroom by the quantity of the receipt and decreases the quantity on order by the quantity received.
- Each time the receipt of a direct issue item is recorded, MAXIMO creates a transaction for that item, charging the cost to a Work Order, Asset, Location or GL Account.
- Once a receipt line entry has been saved, the fields on the Material Receipts tab become permanently read-only (for data integrity purposes).

Below is step to receipt Material PO:

Step	Action
1	Open the Receiving application from go to Purchasing > Receiving Select PO record that you want to receive. Please ensure the PO status is APPR and then click Select Ordered Items button to choose item on PO Line that you want receive.  The screenshot shows the 'Receiving' application interface. At the top, there's a 'Receiving' header with a home icon and a menu icon. Below it, there's a search bar with 'Find PO' and a 'Select Action' dropdown. There are tabs for 'List View', 'Material Receipts', and 'Service Receipts'. The 'Material Receipts' tab is active. Below the tabs, there's a form with fields for PO: (GFSP0003), Site: (NPCT1), Distributor: (709654), Ordered Date: (2/29/16 4:38 PM), Attention: (PT. Niagaprima Paramitra), and Received Cost: (0.00). There's a 'PO Status' dropdown set to 'APPR'. Below the form, there's a table with columns: PO Line, Item, Description, Quantity, Order Unit, Type, Insp. Status, and Actual Date. The table is empty, showing 'There are no rows to display.' At the bottom, there are three buttons: 'Select Items for Return', 'Select Rotating Assets for Return', and 'Select Ordered Items'. The 'Select Ordered Items' button is highlighted with a red box.
2	From Select Ordered item button, we can receipt all PO Line related on Receiving record. Check All PO Line Item to receipt all item listed on related PO

Select Ordered Items

Storeroom:

Find

Ordered Items

Filter > 1 - 2 of 2

☐	PO Line	Item	Description	Packing Slip	To Storeroom	Quantity Due	Quantity Ordered
☐	2	NP1000046	Item Bolt 0.5 Inch		NPCT1-ENG-STORE	30.00	30.00

OK

Cancel

3

Back to **Material Receipts** tab, we can review all inspection status of received lines with **RECEIPT** type.

There is 3 status of Inspection status on receiving lines.

- WINSP
Some materials require inspection before they can be entered into inventory. Upon receipt, these materials are stored in a holding location until an inspection is performed and the inspection status is changed into COMP
- WASSET
Will described later in the **Rotating Items Receiving** section.
- COMP
Materials already received into storeroom.

Material Receipts

Filter > 1 - 1 of 1

PO Line	Item	Description	Quantity	Order Unit	Type	Insp. Status	Actual Date
2	NP1000046	Item Bolt 0.5 Inch	30.00	UNT	RECEIPT	WINSP	5/12/16 8:33 AM

Select Items for Return Select Rotating Assets for Return Select Ordered Items

4

If there are items with an **Inspect on Receipt** is checked and have Inspectin status = WINSP, we need to do inspection to this item using **Select Action > Change Inspection Status** from **Receiving** application.

Receiving

Query Find PO

PO:

Distributor:

Select Action

ed Date:

5

Check the **Material Receipt** check box and then click **OK** after we doing inspection to this item.

Change Inspection Status

Material Receipts

Service Receipts

Material Receipts

Filter >

1 - 1 of 1

☒

☒

PO Line

Item

Inspected Qty

Quantity Accepted

Reject Quantity

Reject Code

2

NP1000046

30.00

30.00

0.00

OK

Cancel

6

There will be a new receiving line with **TRANSFER** type,
Every receiving line with **Inspection Required** flag will received to HOLDING location, after inspection is completed received item in HOLDING Location will transfer to real Storeroom location.

Material Receipts

Filter >

1 - 2 of 2

PO Line

Item

Description

Quantity

Order Unit

Type

Insp. Status

Actual Date

2 NP1000046

Item Bolt 0.5 Inch

30.00

UNT

RECEIPT

COMP

5/12/16 8:33 AM

2 NP1000046

Item Bolt 0.5 Inch

30.00

UNT

TRANSFER

COMP

5/12/16 8:33 AM

Select Items for Return

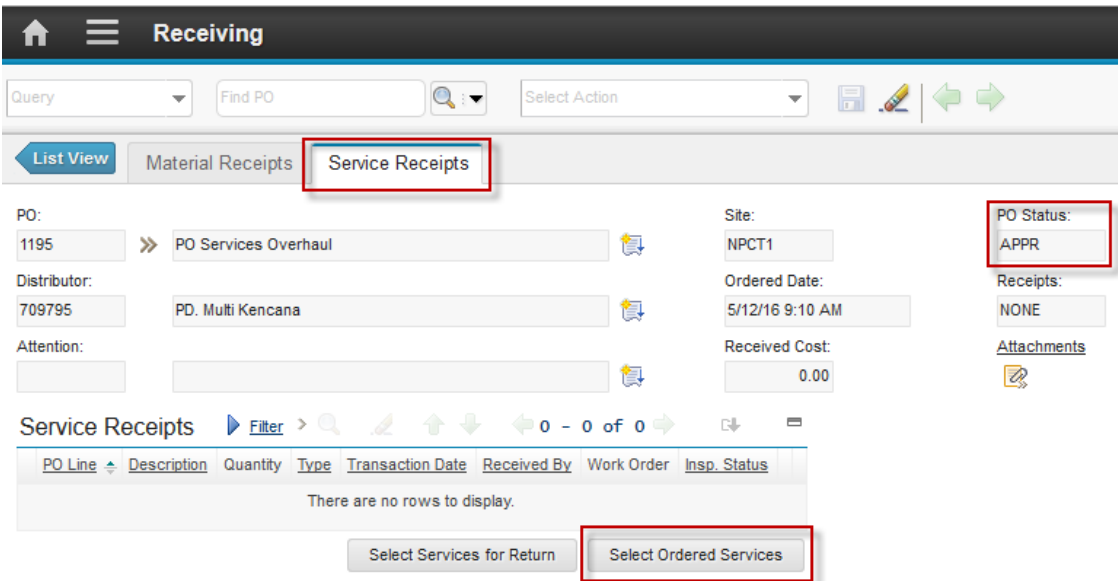
Select Rotating Assets for Return

Select Ordered Items

4.4 Service Receiving

The Service Receipts tab is used to record any services received against an approved Purchase Order. In general, two things happen:

- Receipts of services are recorded in MAXIMO 7 whenever a Contractor or Vendor submits a claim.
- Later, an authorized individual (as established through Signature Security in MAXIMO) reviews the services transaction, and approves the receipt in MAXIMO. Only services in the Receiving application which are marked for inspection requirements will need this secondary approval step. (Note: In prior versions of MAXIMO, all service receipts required secondary approval.) This is accomplished by using the Change Inspection Status option under Select Actions. Service receipts are recorded on the Service Receipts tab. You can copy all the PO line items to the Service Receipts table window if all services have been received, or you can enter partial receipts.

Step	Action
1	Open the Receiving application from go to Purchasing > Receiving Select PO record that you want to receive. Please ensure the PO status is APPR and then click Click Select Ordered Services. The Select Ordered Services Screen appears 
2	Select Ordered Service screen will appear, check on the checkbox service list that you want receive and then click OK button. Optional: Change the selected services information, such as the quantity, in the Service Receipts table window. When you save the receipt, these fields become read-only. Click Save Receipt.

Select Ordered Services

Services Filter > 1 - 1 of 1

☒	PO Line	Item	Description	Quantity Due	Quantity Ordered	Line Cost Due	Line Cost Ordered
☒	1		Service Overhaul	1.00	1.00	100,000,000.00	100,000,000.00

OK Cancel

3 Click **Save** button, please take note that **Inspection Status** is **WINSP**, you must do Inspection on receiving line on **Select Action** menu , choose **Change Inspection Status** option receiving.

Receiving

Storeman01

Query Find PO 1 - 1 of 1

List View Material Receipts **Service Receipts**

PO: 1195 PO Services Overhaul Site: NPCT1 PO Status: APPR

Service Receipts Filter > 1 - 1 of 1

PO Line	Description	Quantity	Type	Transaction Date	Received By	Work Order	Insp. Status
1	Service Overhaul	1.00	RECEIPT	5/12/16 9:18 AM	ST001		WINSP

Select Services for Return Select Ordered Services

Receiving

Query Find PO Select Action

List View Material Receipts **Service Receipts**

Change Inspection Status
Receive Rotating Items
View Related Records

4 On **Change Inspection Status** screen go to **Service Receipts** tab.
Please Check to Checkbox button on service that you want inspect and then click **OK** button

Change Inspection Status

Material Receipts **Service Receipts**

Service Receipts Filter > 1 - 1 of 1

☒	PO Line	Description	Inspected Quantity	Quantity Accepted	Rejected Quantity
☒	1	Service Overhaul	1.00	1.00	0.00

OK Cancel

5

Back to **Service Receipts** Tab on **Receiving** application, please take note that **Inspection Status** is change to COMP status

Service Receipts

Filter > 1 - 1 of 1

PO Line

Description

Quantity

Type

Transaction Date

Received By

Work Order

Insp. Status

1

Service Overhaul

1.00

RECEIPT

5/12/16 9:18 AM

STO01

>>

COMP

Select Services for Return

Select Ordered Services

Agile – Proprietary/Confidential

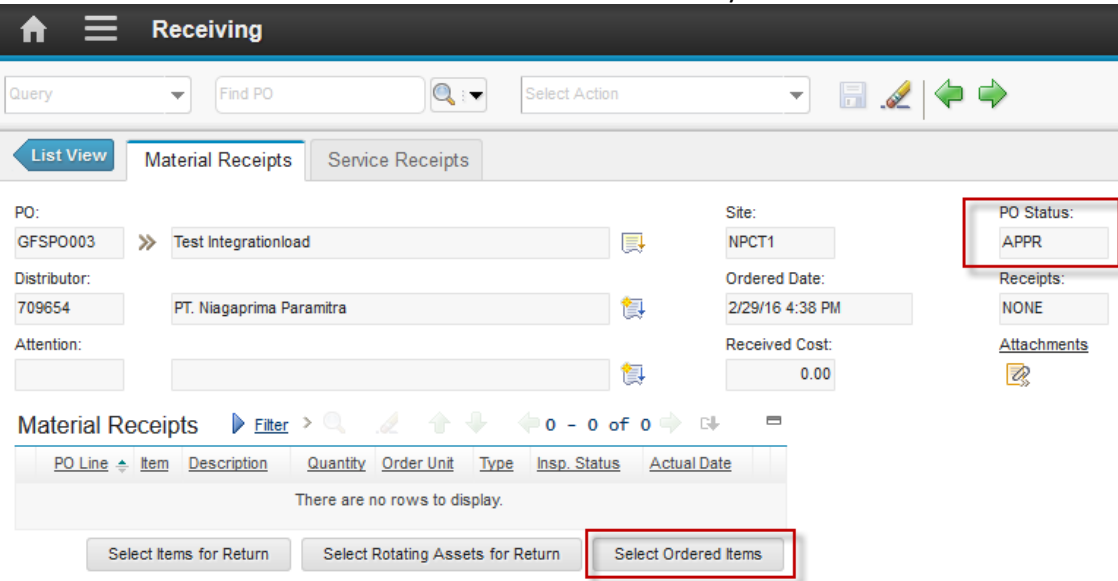
26

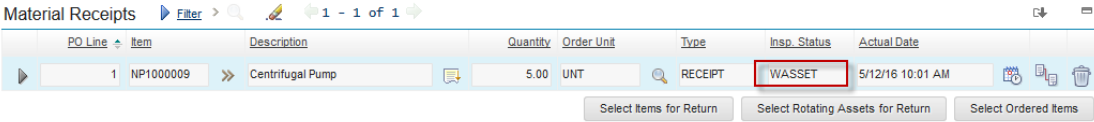
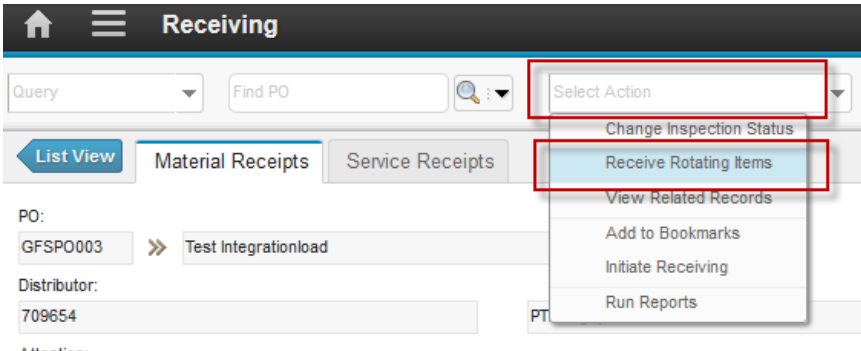
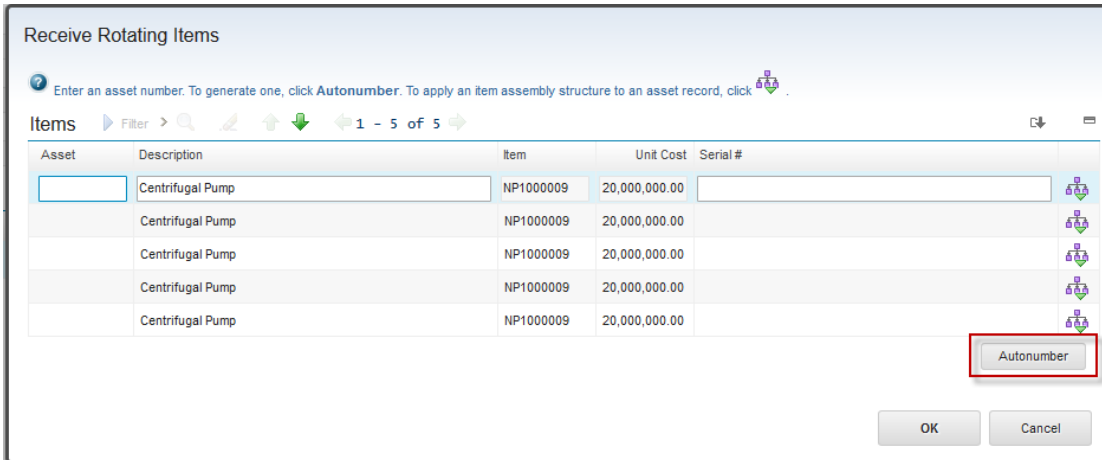
4.5 Rotating Items Receiving

Items that are also considered Assets, such as pumps and motors, can be created as Rotating Assets and stocked in inventory and rotated in and out of use at different locations. Receiving rotating assets requires both an Asset number, and a rotating Item number, allowing it to be tracked as both a specific Asset record and as a generic Item category, depending on its location at any given time.

If you have purchased a new Item that will act as rotating Asset, it needs to have the Asset identifier specified when it is received. After retrieving the PO in the Receiving application, click on the Select Ordered Items option which will bring up a list of Items ordered on that PO as shown below. Click the Save button and you are returned to the Materials Receipt screen. After recording and saving the receipt transaction, use the Receive Rotating Items action to specify an Asset identifier and to record serial numbers for the items. The unique Asset ID will be entered at this point completing the receipt transaction.

Each rotating item is received into inventory with an item number. You can enter line items for rotating items. You can specify asset identifiers for rotating assets, or auto number all the rotating items. You also might need to change information when recording the receipt of materials.

Step	Action
1	Open the Receiving application from go to Purchasing > Receiving Select PO record that you want to receive. Please ensure the PO status is APPR and then click Select Ordered Items button to choose item on PO Line that you want receive. 
2	If the rotating item requires inspection (WINSP), perform the inspection and change the inspection status. After changing the inspection status, the status of the rotating item is WASSET. The rotating item is also tracked in the Assets application with an asset number.

	From Receiving application go to Material Receipts, check PO Line with insp. status = 'WASSET' or WINSP" 
3	If there is a receiving line with "WASSET" status, we can receipt the rotating item by Select Action > Receiving Rotate Items  Result: 
4	To specify asset numbers for the line items, complete either of the following actions: - Specify a value in the Asset field for each line item. - Click Autonumber button to have the product assign numbers to the items Result:

Items

Filter >    1 - 5 of 5

Asset	Description	Item	Unit Cost	Serial #	
NP100113	Centrifugal Pump	NP1000009	20,000,000.00		
NP100114	Centrifugal Pump	NP1000009	20,000,000.00		
NP100115	Centrifugal Pump	NP1000009	20,000,000.00		
NP100116	Centrifugal Pump	NP1000009	20,000,000.00		
NP100117	Centrifugal Pump	NP1000009	20,000,000.00		

Autonumber

OK

Cancel

5 Click **OK**. An asset record is created and the status of the line item is changed from WASSET to COMP (Complete) for each item that you received. If you received a rotating item that required inspection, a transfer transaction is created. In this transaction, the item is transferred from the holding location to either its storeroom or to its direct issue location

Material Receipts

Filter >    1 - 4 of 4

PO Line	Item	Description	Quantity	Order Unit	Type	Insp. Status	Actual Date	
1	NP1000009	Centrifugal Pump	5.00	UNT	RECEIPT	COMP	5/12/16 10:01 AM	  
1	NP1000009	Centrifugal Pump	5.00	UNT	TRANSFER	COMP	5/12/16 10:01 AM	  

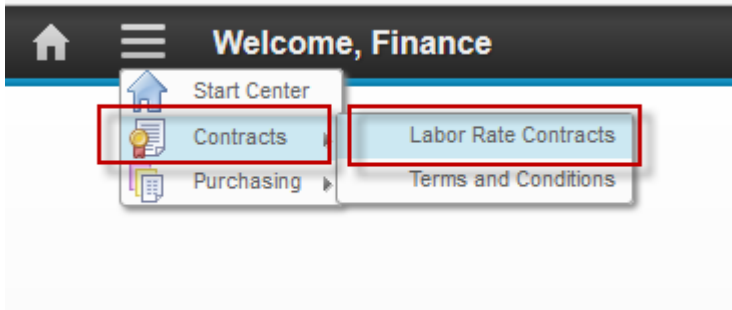
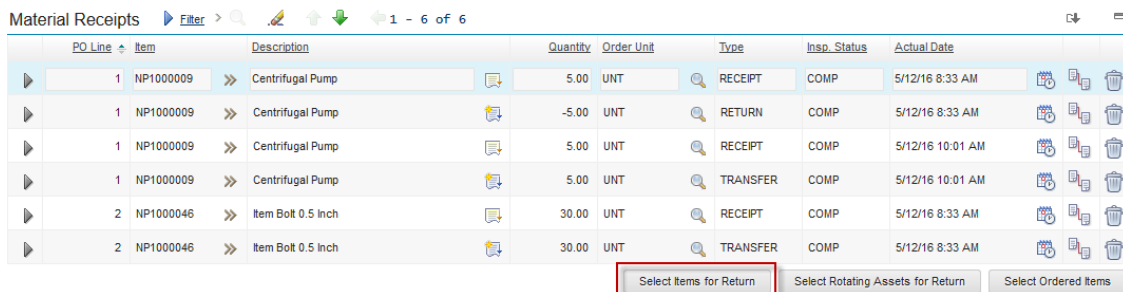
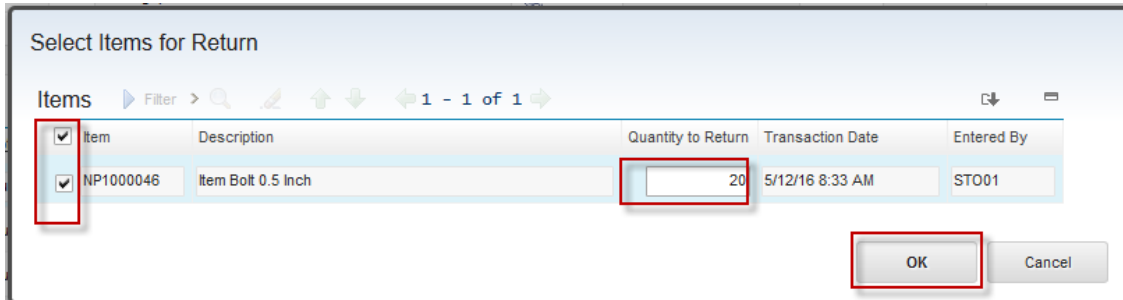
Select Items for Return

Select Rotating Assets for Return

Select Ordered Items

4.6 Return to Vendor

You can select items that were already received that you want to return. For example, you can select a damaged item to return it. When you apply this action to each selected item, a negative receipt is displayed for each item.

Step	Action
1	From Start Menu, go to Contract > Labor Rate Contracts application On the List tab of the Receiving application, select the approved purchase order record that contains the items that you want to return. 
2	On the Material Receipts tab, click Select Items for Return button. The Select Items for Return window displays only items that are available to return.  Result: Please check the item Check Box that you want return, edit the quantity and then click OK button. 
3	A return transaction is created for the specified item. In the Material Receipts table window,

the Quantity field for each item you selected to return displays a negative value and the Click **Save** button.

Material Receipts Filter > < ↑ ↓

PO Line	Item	Description	Quantity	Order Unit	Type	Insp. Status	Actual Date
1	NP1000009	Centrifugal Pump	5.00	UNT	RECEIPT	COMP	5/12/16 8:33 AM
1	NP1000009	Centrifugal Pump	-5.00	UNT	RETURN	COMP	5/12/16 8:33 AM
1	NP1000009	Centrifugal Pump	5.00	UNT	RECEIPT	COMP	5/12/16 10:01 AM
1	NP1000009	Centrifugal Pump	5.00	UNT	TRANSFER	COMP	5/12/16 10:01 AM
2	NP1000046	Item Bolt 0.5 Inch	30.00	UNT	RECEIPT	COMP	5/12/16 8:33 AM
2	NP1000046	Item Bolt 0.5 Inch	30.00	UNT	TRANSFER	COMP	5/12/16 8:33 AM
2	NP1000046	Item Bolt 0.5 Inch	-20.00	UNT	RETURN	COMP	5/12/16 10:23 AM

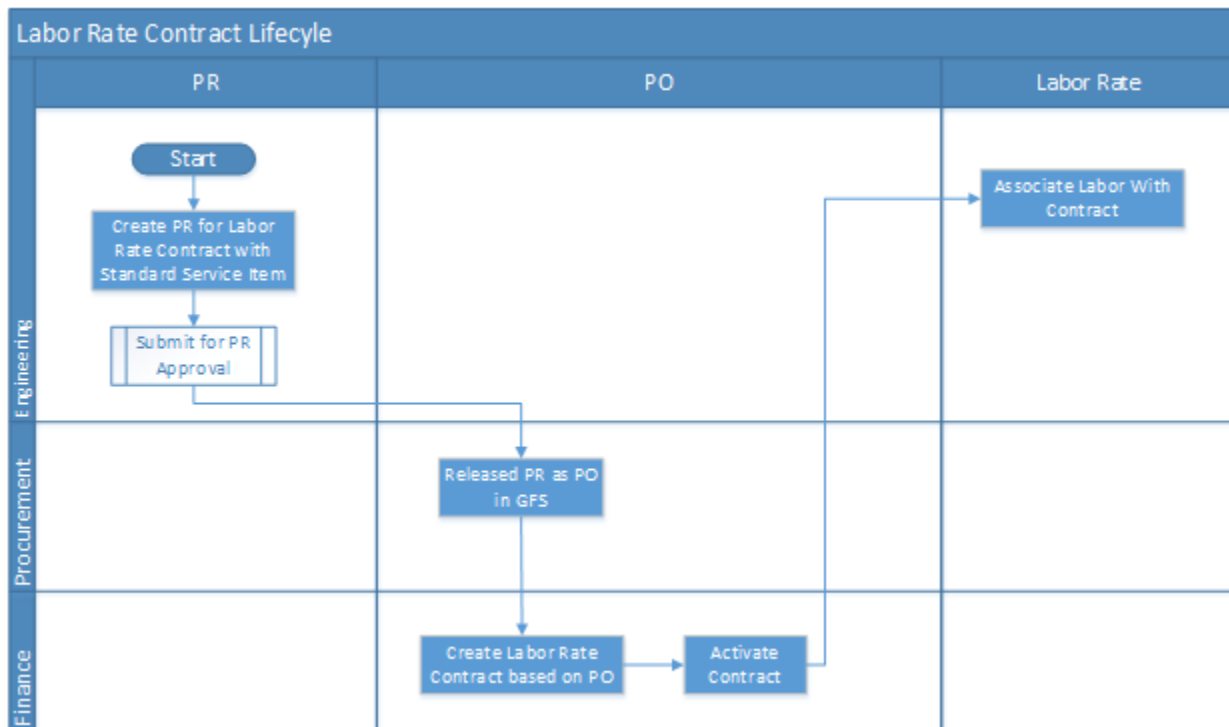
Select Items for Return Select Rotating Assets for Return Select Ordered Items

5 Labor Rate Contract

5.1 Overview

You use the Labor Rate Contracts application to specify labor rates for crafts, skills, and, labor. You also can manage outside labor and their rates. When you create a labor rate contract, a unique contract number is generated. When you reference craft records or skill records on a labor rate contract, you reference records that were created and maintained in the Crafts application, but you can apply individual rates in a labor rate contract. You also can associate individual labor records with a labor rate contract

5.2 Labor Rate Contract Lifecycle



To Create a labor rate contract there are some task must be completed which are:

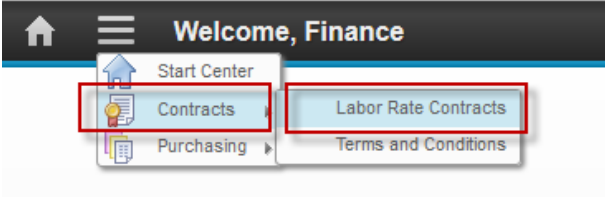
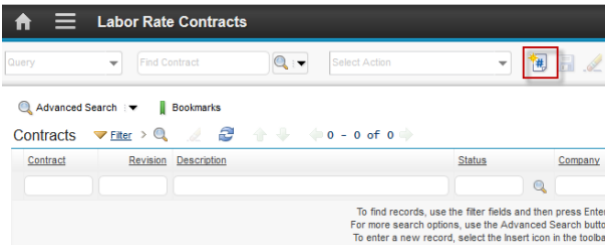
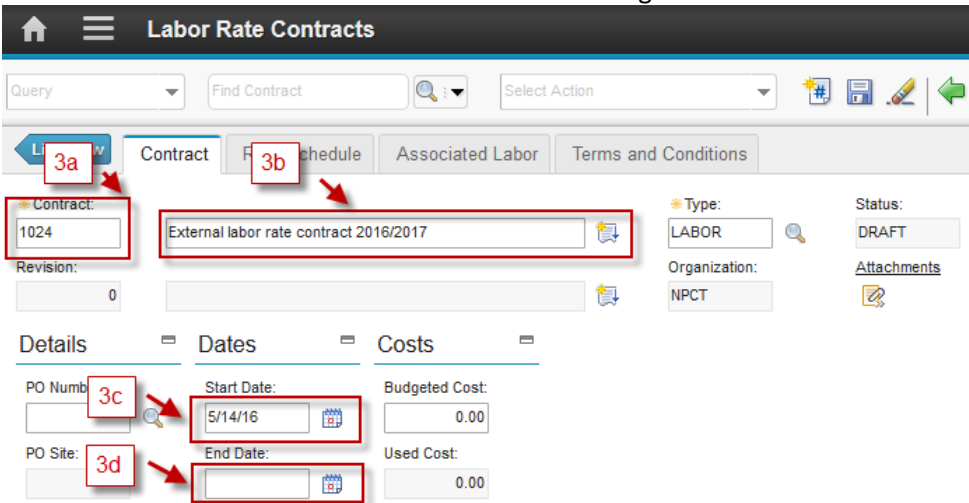
1. Engineering team will create Standard Service Item master represent a labor rate contract item.
2. Engineering team will create PR using standard service item that have been created before.
3. Approved labor rate contract PR will be released as PO by Procurement team in GFS application.
4. Approved PO will be available on Maximo application after PO integration is done.
5. Finance team will create Labor Rate contract based on approved PO and will activate it.
6. Before labor rate can be used in Workorder, Engineering team will associate it with labor and craft record.
7. Finished Labor Rate contract will be used as rate reference in every labor usage for work order in maintenance activity.

5.3 Labor Rate Contract Application

5.3.1 Create Labor Rate Contract

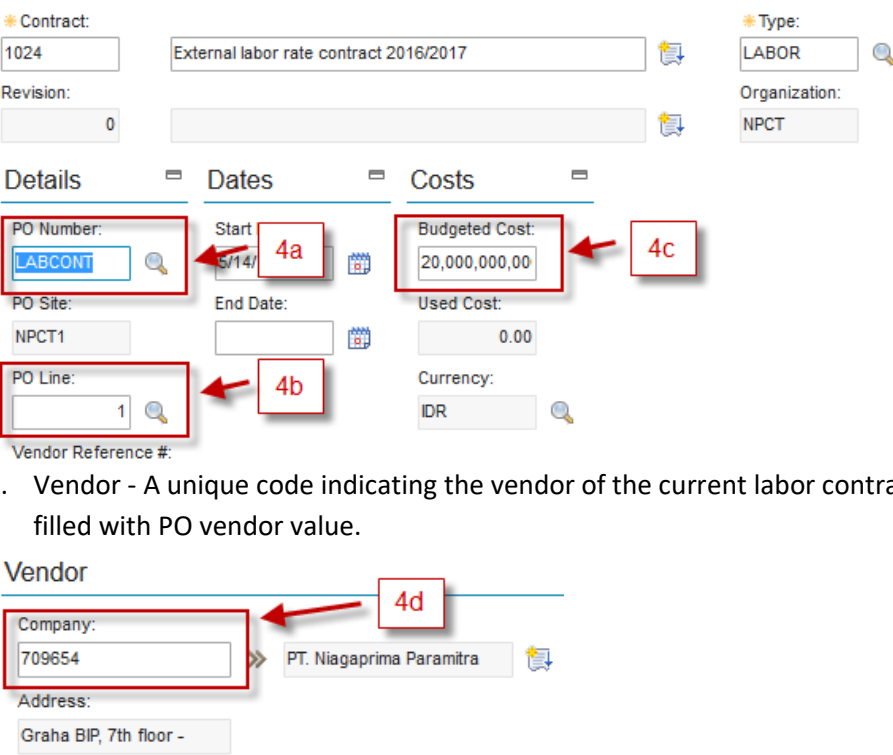
Before you create a labor rate contract, there must be a Purchase Order (PO) created before as a reference to the contract.

Below are the steps to create a new labor rate contract:

Step	Action
1	From Start Menu, go to Contracts > Labor Rate Contracts application 
2	Create New Contract Record using  button. Enter the number of Contract. 
3	Please fill the following field: - Contract Number – Unique ID representing the contract - Description – Description of Contract - Start Date - The date on which the contract becomes active. - End Date - Date after which the contract is no longer valid 

4

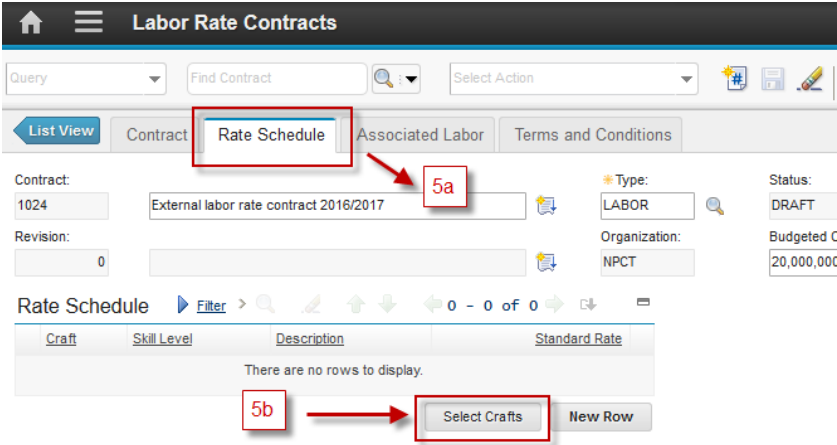
- Please fill the PO number of PO reference
- Please fill the PO Line number.
- Budgeted Cost field is maximum value that allowed of labor usage cost – automatically filled from po line cost after PO line attribute is selected

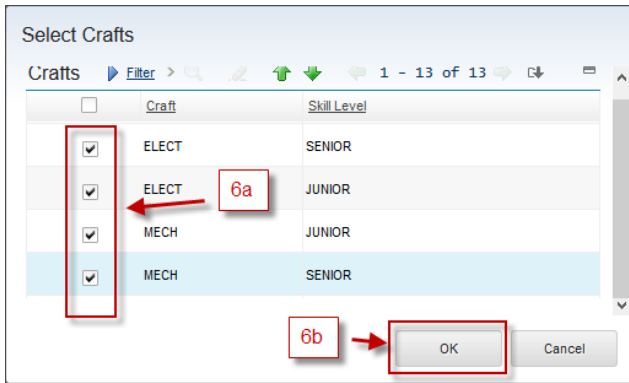
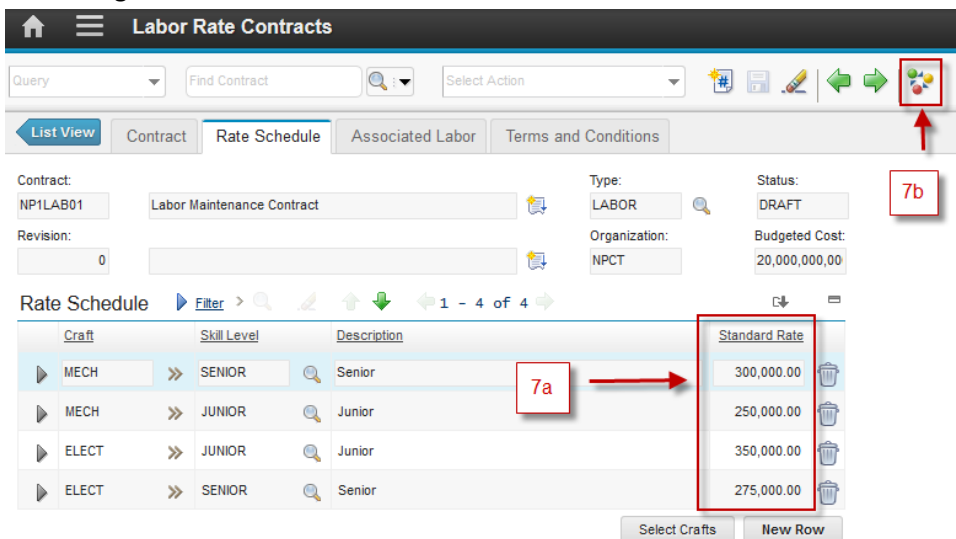
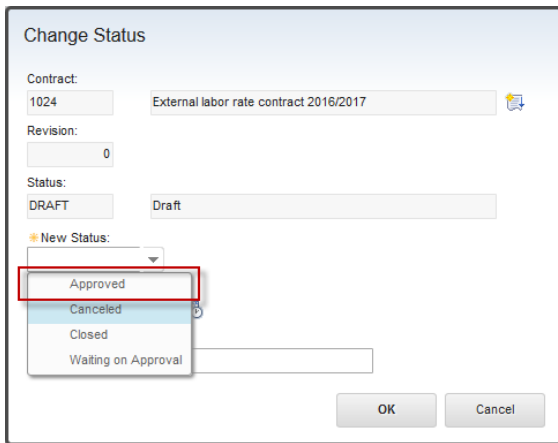


Click save  button

5

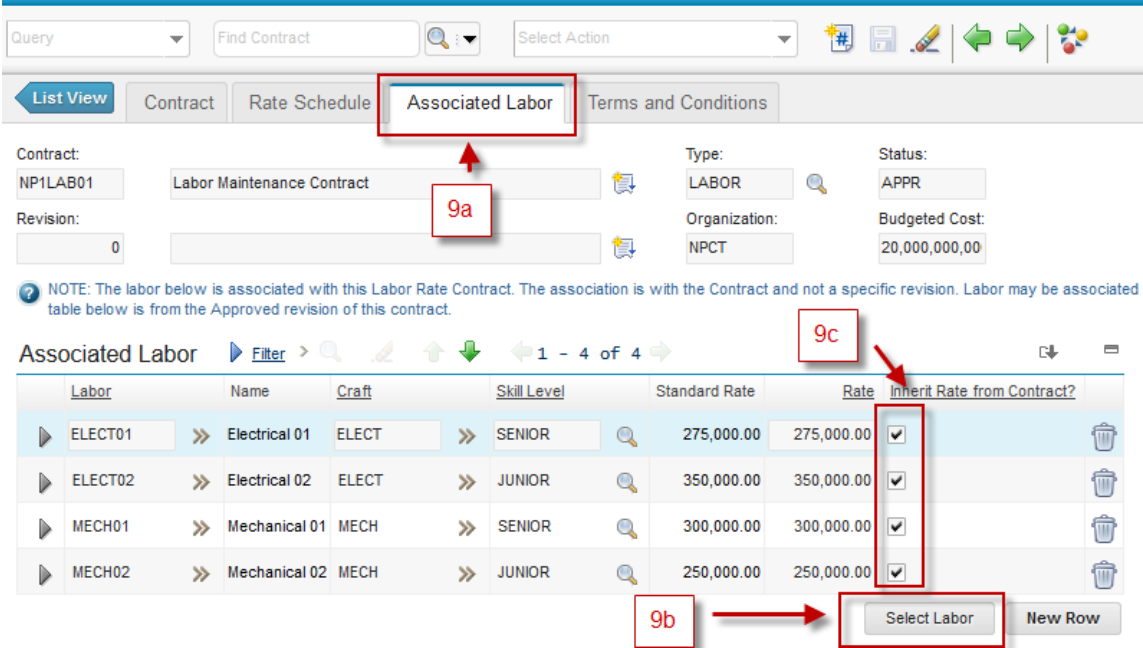
- Click the Rate Schedule tab.
- Click Select Crafts to specify a value for the craft and the select craft dialog will appear.



- 6
- Select Craft by check the checkbox of listed Crafts.
 - Click OK button
- 
- 7
- Please specify rate of each craft, in Maximo rate is calculated per man hour.
 - Change status of this contract into APPR status.
- 
- 8
- Choose Approved status on New Status combo box and then click OK button.
- 

9

- Go To **Associated Labor** tab.
- Click **Select Labor** for every craft.
- Please ensure **Inherit Rate from Contract** is checked - Indicates that the standard rate established for this craft, skill level, vendor and contract is being used.



Query Find Contract Select Action

List View Contract Rate Schedule **Associated Labor** Terms and Conditions

Contract: NP1LAB01 Labor Maintenance Contract Type: LABOR Status: APPR

Revision: 0 Organization: NPCT Budgeted Cost: 20,000,000.00

NOTE: The labor below is associated with this Labor Rate Contract. The association is with the Contract and not a specific revision. Labor may be associated table below is from the Approved revision of this contract.

Associated Labor Filter 1 - 4 of 4

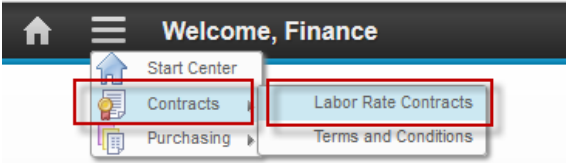
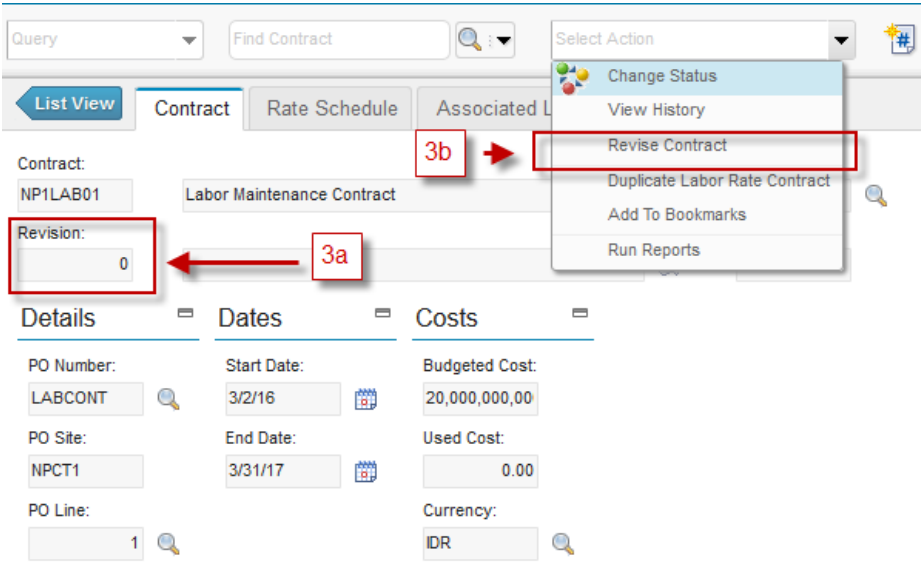
Labor	Name	Craft	Skill Level	Standard Rate	Rate	Inherit Rate from Contract?
ELECT01	Electrical 01	ELECT	SENIOR	275,000.00	275,000.00	☒
ELECT02	Electrical 02	ELECT	JUNIOR	350,000.00	350,000.00	☒
MECH01	Mechanical 01	MECH	SENIOR	300,000.00	300,000.00	☒
MECH02	Mechanical 02	MECH	JUNIOR	250,000.00	250,000.00	☒

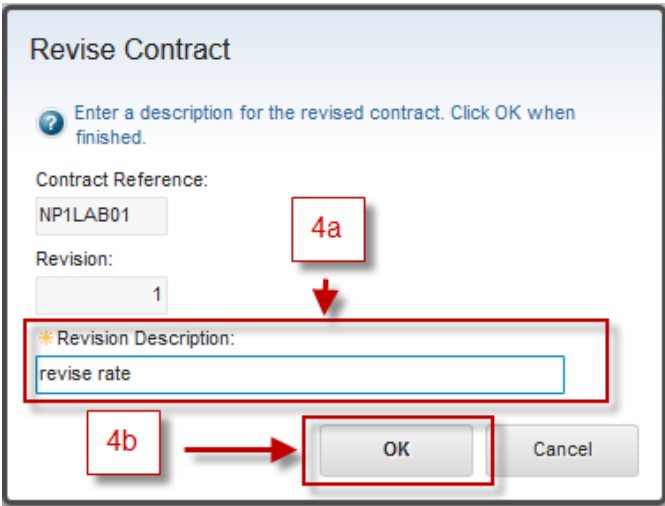
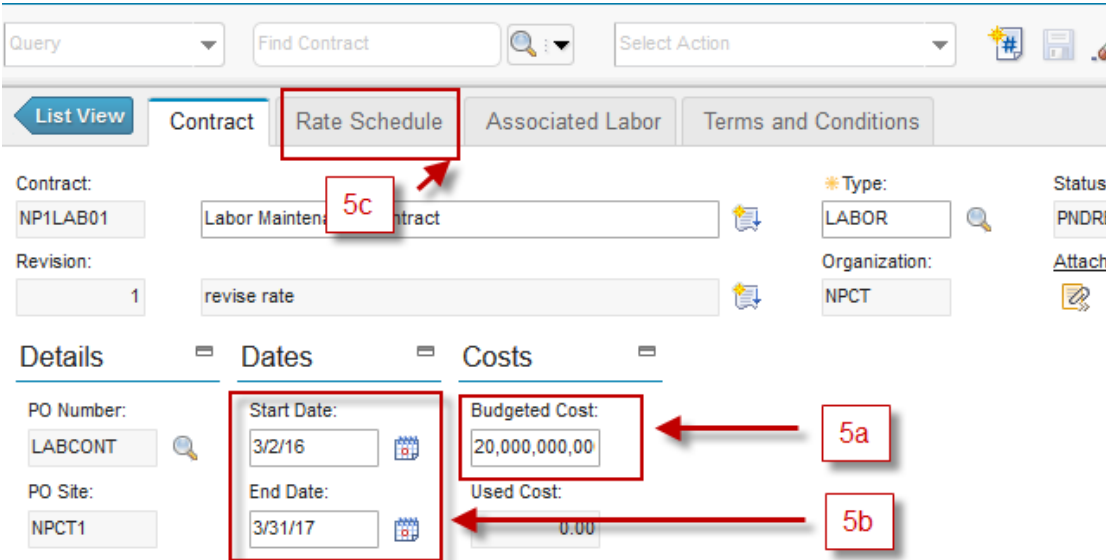
Select Labor New Row

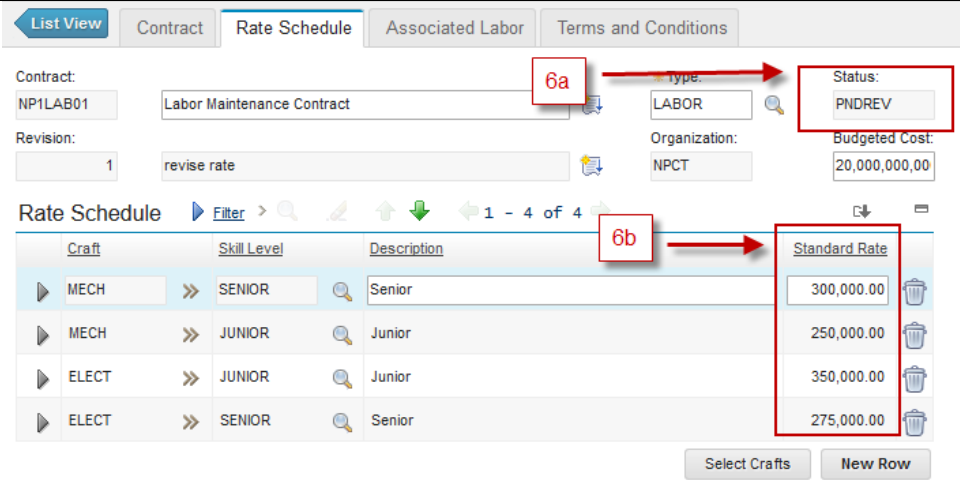
5.3.2 Revise a Contract

You can create a revised version of a contract. You can also create multiple revisions of a contract. The **Revision** field of the contract indicates the number of times a contract has been revised. When you insert a contract record, the revision number is zero. As you make revisions to the contract, the next consecutive number is inserted in the Revision field. This option is available in more than one application.

Below are the step to revise a labor rate contract.

Step	Action
1	From Start Menu, go to Contracts > Labor Rate Contracts application 
2	From the list of contracts, choose one of the contract that you want to revised. 
3	a. Please ensure contract revision number is 0. b. From Select Action menu, choose Revise Contract option. Change status of contract dialog will be displayed 

4	a. Please fill the Description for the reason or justification of contract revision b. Click OK button to confirm a revision. 
5	a. Please ensure the status of PO is PNDREV and some of fields is editable. Change Budgeted Cost value. b. Change Period of contract. c. Go to Rate Schedule tab to revise every craft rate. 
6	a. Revise Standard Rate value with value that you want.



Contract: NP1LAB01 Labor Maintenance Contract

Revision: 1 revise rate

Type: LABOR Organization: NPCT

Status: PNDREV Budgeted Cost: 20,000,000.00

Craft	Skill Level	Description	Standard Rate
MECH	SENIOR	Senior	300,000.00
MECH	JUNIOR	Junior	250,000.00
ELECT	JUNIOR	Junior	350,000.00
ELECT	SENIOR	Senior	275,000.00

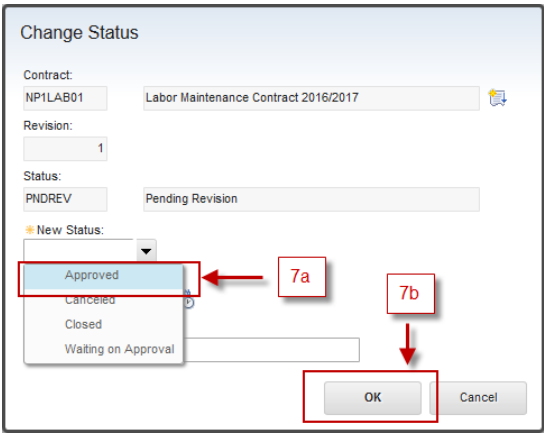
Select Crafts New Row

To confirm revision and make this contract can be used in transaction, change status of contract from PNDREV to APPR using  button.

7

a. **Change Status** dialog appears and then choose Approved as **New Status** to activate revised contract.

b. Click **OK** button to confirm the status changing.



Change Status

Contract: NP1LAB01 Labor Maintenance Contract 2016/2017

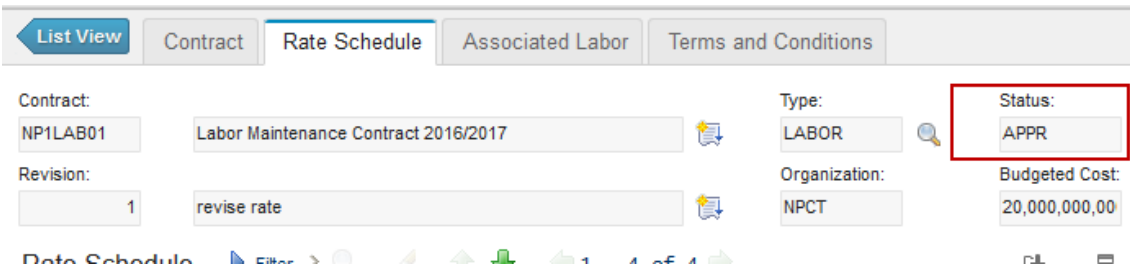
Revision: 1

Status: PNDREV Pending Revision

New Status: Approved

OK Cancel

8 Please ensure the status of contract is APPR and all of fields is Read Only.



Contract: NP1LAB01 Labor Maintenance Contract 2016/2017

Revision: 1 revise rate

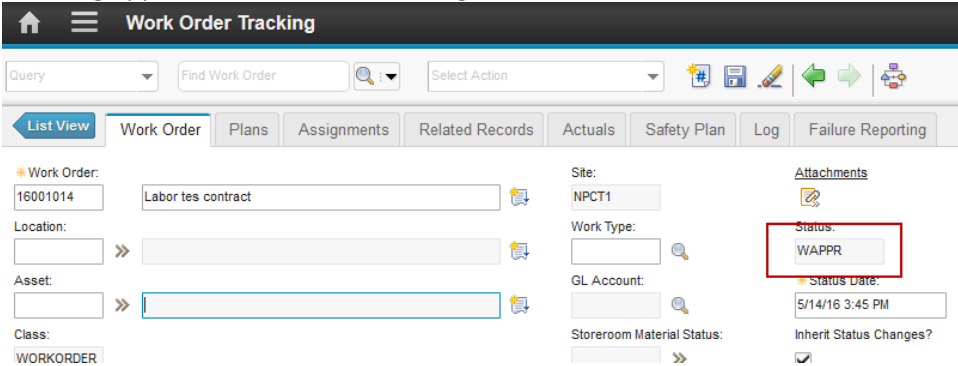
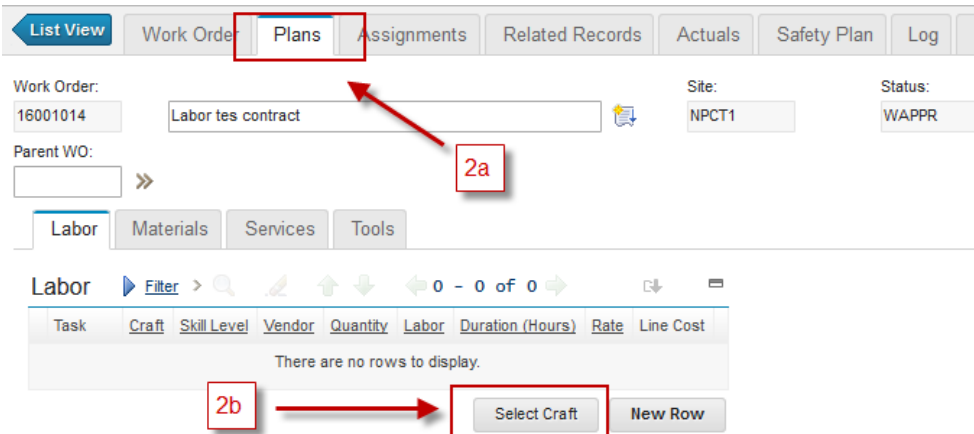
Type: LABOR Organization: NPCT

Status: APPR Budgeted Cost: 20,000,000.00

5.4 Labor Rate Contract Usage

Agreed defined rate of labor rate contract can be used as references of every labor usage in Work Order. Each of labor usage based on contract will be cumulative calculated to **Used Costs** value in contract and this value can't be higher than **Budgeted Cost**.

Below are the steps to create labor usage with labor rate contract reference.

Step	Action
1	We can relate labor rate contract on workorder from the planning step, from Work Order Tracking application choose an existing WAPPR workorder 
2	a. Go To Plans tab and go to planned Labor sub tab to select associated contract rate schedule into workorder planned labor. b. Click Select Craft button. 
3	a. Select Craft dialog will appears and check to checkbox of craft listed. Please ensure craft that you select is have contract number. b. Click OK button.

Select Craft

3a →

☐	Craft	Skill Level	Vendor	Contract	Contract Description	Standard Rate
☐	MECH	SENIOR	709654	NP1LAB01	Labor Maintenance Contract	300,000.00
☐	MECH	JUNIOR	709654	NP1LAB01	Labor Maintenance Contract	250,000.00
☐	ELECT	JUNIOR	709654	NP1LAB01	Labor Maintenance Contract	350,000.00
☐	ELECT	SENIOR	709654	NP1LAB01	Labor Maintenance Contract	275,000.00

3b → **OK** **Cancel**

4

Result:
All select craft associated with contract will be filled into planned **Labor** sub tab. Modify duration that needed to perform this workorder for each craft.
Click **Save** button.

Labor | Materials | Services | Tools

Labor Filter > 1 - 4 of 4

Task	Craft	Skill Level	Vendor	Quantity	Labor	Duration (Hours)	Rate	Line Cost
ELECT	JUNIOR	709654	1		0:00	350,000.00	0.00	
ELECT	SENIOR	709654	1		0:00	275,000.00	0.00	
MECH	SENIOR	709654	1		0:00	300,000.00	0.00	
MECH	JUNIOR	709654	1		0:00	250,000.00	0.00	

Select Craft New Row

5

After workorder is approved and executed, actual usage of labor can be recorded from **Actuals** tab on **Work Order Tracking** application,

- Go To **Actuals** tab.
- Go to actual **Labor** sub tab.
- Click **Select Planned Labor** to record actual labor based on planned craft in the planning phase.

Work Order Tracking

Query Find Work Order Select Action

List View Work Order Plans Assignments Related Records **Actuals** Safety Plan Log Failure Reporting

Work Order: 16001014 Labor tes contract

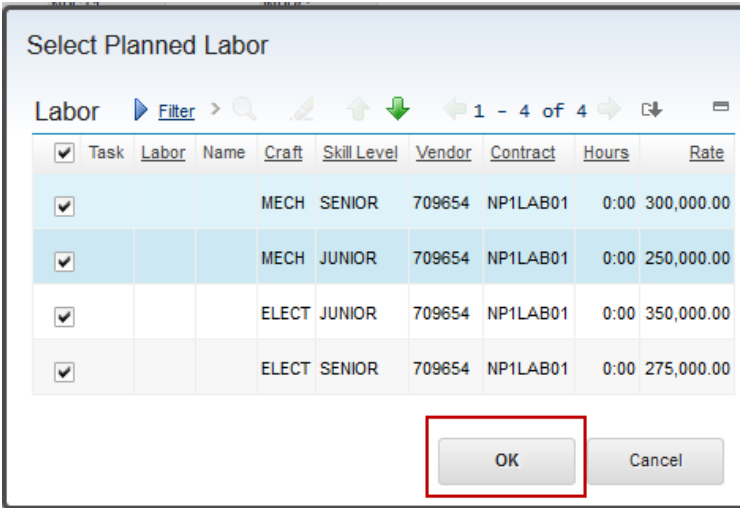
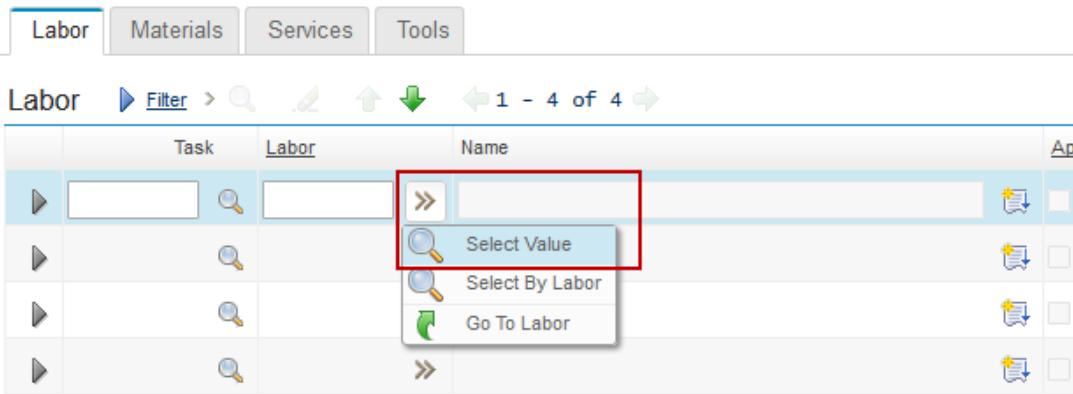
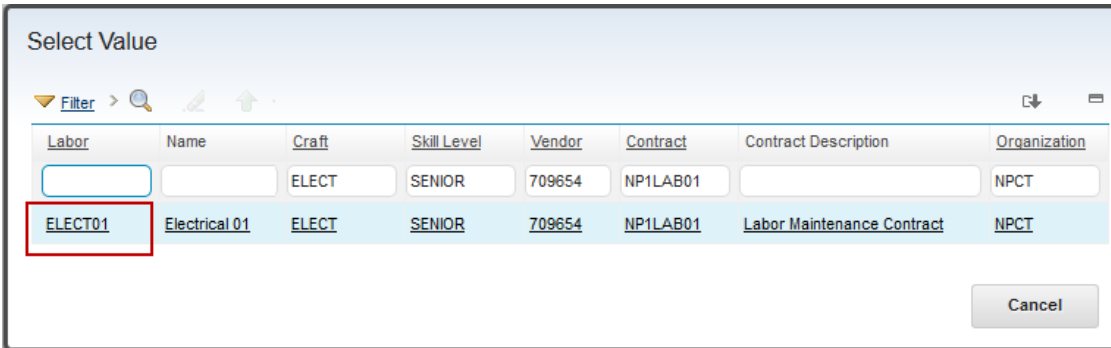
Parent WO: >>

Labor | Materials | Services | Tools

Labor Filter > 0 - 0 of 0

Task	Labor	Name	Approved?	Start Date	Start Time	End Time	Line Cost
There are no rows to display.							

Select Labor **Select Planned Labor** New Row

- 6 Result:
Select Planned Labor dialog will appears, check planned labor craft that used in actual.
Click **OK** button.
- 
- 7 Back on **Actual Labor** sub tab, planned craft that you selected before will listed on the list.
Please specify labor name using **Select Value** lookup.
- 
- 8 Lookup Dialog will listed only labors that meet craft criteria that defined on the list. Select the labor name and go back to **Actual Labor** sub tab.
- 

- 9 Modify the duration of work, **Rate** value is derived from Labor Rate Contract referenced and **Linecost** value will be automatically calculated based on **Duration** multiplied with **Rate** value.
- Labor  Filter >     1 - 1 of 1  
- | Task | Labor | Name |
|--|---|---|
|  <input type="text"/> |  ELECT01 |  Electrical 01 |
- Labor
- Task: Labor: ELECT01  Electrical 01
- Details
- * Craft: ELECT  * Start Date: 5/14/16  End Date:  * Type: WORK 
- Skill Level: SENIOR  Start Time:  End Time: 
- * Duration (Hours): 8:00  Line Cost: 2,200,000.00
- * Rate: 275,000.00
- Click **Save** button.
- 10 After workorder is closed, total of labor cost usage will be sum-up in to **Used Cost** field in the referenced contract.
- Contract: NP1LAB01 Labor Maintenance Contract 2016/2017
- Revision: 1 revise rate
- Details  Dates  Costs 
- PO Number: LABCONT  Start Date: 3/2/16  Budgeted Cost: 20,000,000.00
- PO Site: NPCT1 End Date: 3/31/17  **Used Cost:** 2,200,000.00